Stock Focus

betr Entertainment Limited (BBT.ASX)

E&P

The betr angle - Initiation

Recommendation: Positive

Last price	**AUD0.17**
Valuation	**AUD0.26**

TSR

Upside to valuation	51.7%
Dividend yield	0.0%
Expected total SH return	51.7%

BBT.ASX share price history
Source: E&P Research, IRESS



Trading Data

Last price	AUD0.17
Valuation	AUD0.26
Shares outstanding (m)	1,057.7
Free float (%)	42.7

Earnings revisions

	FY26	% chg	FY27	% chg
Revenue	144.5	0.0%	166.1	0.0%
EBITDA	(8.0)	0.0%	16.1	0.0%
Adj. EPS	(2.0)	0.0%	0.2	0.0%
Val	**AUD0.26**	**0.0%**		

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Initiating with a Positive rating and a 26cps valuation

betr is a pure-play Australian online bookmaker, holding ~3.2% of the online net-win market. Central to the investment case is M&A: management has been explicit that consolidation is a core pillar of strategy, and brings a team that has executed this playbook repeatedly across the sector's landmark transactions. The logic is scale and synergy — five years of industry reform have made a mid-to-large operator far more viable than a smaller one, and inorganic share gains come faster than organic.

PointsBet and Entain, both canvassed in the media over the past year, remain the two most logical targets in today's climate, with multiple scenarios still on the table. On PointsBet, betr retains its 27.72% stake — potentially an indicator that a deal of some shape can still be reached with MIXI. On Entain, industry feedback suggests its parent, amid a broader portfolio simplification, would be willing to sell the ANZ arm; with Entain screening cheap on a SOTP basis, a full-price exit would help crystallise that value. On the balance sheet, betr maintains a strong banking relationship, having previously secured a A$120m NAB acquisition facility for its PointsBet bid.

Initial Forecasts

We forecast 2H26 normalised EBITDA of A$5.2m, which is towards the bottom end of guidance (A$5–8m). This reflects petrol price driven softness that we believe impacted the Jun-26 quarter turnover volumes and assumes the ~A$6m cost-out to be largely realised. For FY27, our EBITDA forecast is A$16.1m, the mid-point of guidance (A $13–19m). This assumes mid-single-digit turnover growth and a net win margin back in its historical 10–11% range.

Our View

Our positive view rests on four points.

- First, a management team with a proven M&A record: BlueBet delivered synergies 20%+ ahead of estimate, and TopSport was turned EBITDA-positive on ~A$5.4m of cost-out.
- Second, a product that has closed the gap and is now setting the pace, headlined by the global-first Live Tracker.
- Third, a wagering market we believe is nearing the end of its post-covid reversion, with a future upside scenario should gaming machine reform redirect discretionary spend toward wagering.
- Fourth, valuation upside despite deliberately conservative settings, with scope for a re-rate should certain risks (mostly industry related) alleviate.

Earnings Forecasts

Yr to Jun (AUD)	25A	26E	27E	28E
EBITDA	7.2	(8.0)	16.1	21.3
Net Profit From Operations	4.8	(20.4)	2.1	6.6
ROE (%)	**4.8**	**(12.1)**	**1.5**	**4.6**
EV/EBITDA (x)	**28.5**	**(26.0)**	**13.3**	**10.4**
Int. Cover (x)	1.1	(8.3)	1.4	3.3
Valuation (blended)				**AUD0.26**

Source: E&P Research

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Company Overview

betr Entertainment is a licensed, pure-play online bookmaker focused solely on the Australian market. It was formed in 2024 through the merger of the BlueBet and betr brands. It is led by an experienced board and management team, with M&A a central pillar of their strategy. Beyond acquisitions, management is also confident it can take share organically.

On product, betr has caught up to the field and has begun to create its own market-leading initiatives. Its most recent standout is Live Tracker, a global-first feature that streams live bet updates directly to a customer's phone lock screen, drawing on the playbook of consumer apps such as Uber. Management has also flagged a materially enhanced Same Game Multi product for 1Q27, set to launch at the business end of the AFL and NRL seasons.

Exhibit 1 - betr Mobile App



Source: betr

Exhibit 2 - betr Lock Screen Live Tracker



Source: betr

Over the past year, betr made a front-weighted marketing investment, headlined by "The Goat" brand refresh. Alongside this, the business has been transitioning away from a VIP-led model toward a more recreational, repeat customer base, with a lower risk and earnings volatility profile.

Exhibit 3 - betr Brand Relaunch - "The Goat"



Source: betr

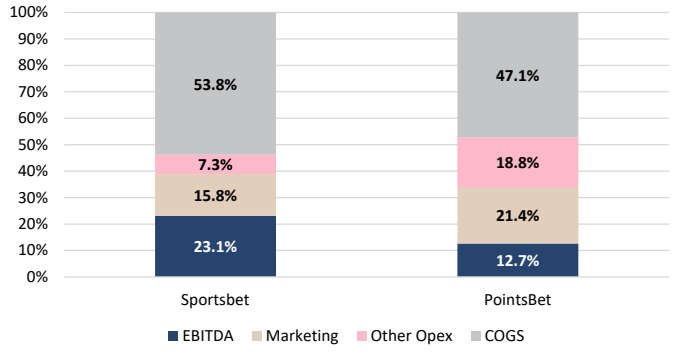
M&A Strategy

Rationale

Management has made no secret of M&A as a core pillar of its strategy, and brings an experienced team that has executed this playbook before. The rationale is one of scale. It is materially easier to operate profitably as a mid-to-large player than as a smaller bookmaker, given the licensing, compliance and product/technology costs that every operator must carry.

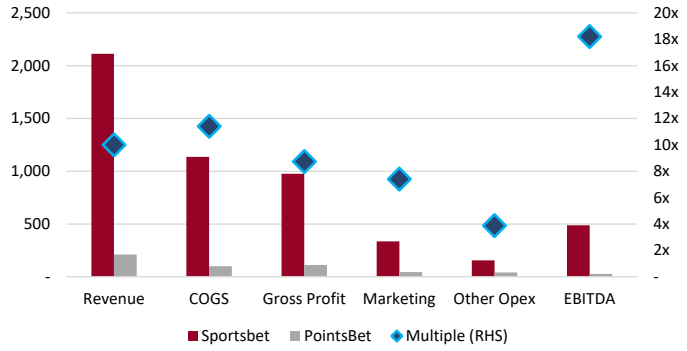
The clearest illustration is a comparison of Sportsbet and PointsBet across FY24 (the best comparable dataset available). As a share of revenue, Sportsbet's Other Opex was materially lower (7.3% versus 18.8%), reflecting that fixed cost base being spread across a far larger revenue pool. Its marketing spend was also lower in percentage terms (15.8% versus 21.4%), though in absolute dollar terms Sportsbet outspent PointsBet by ~7.4x. The main offset was Sportsbet's higher COGS (53.8% versus 47.1%), likely reflecting PointsBet's lack of a SkyRacing integration and its heavier sports skew. The net result was a materially higher EBITDA margin for the larger operator (23.1% of revenue versus 12.7%), driven by scale-based efficiencies.

Exhibit 4 - Sportsbet & PointsBet FY24 Revenue Breakdown



Source: Company Data, E&P Estimates. Note: Sportsbet data based on quarterly reports from their parent group Flutter.

Exhibit 5 - Sportsbet & PointsBet Key Financials (LHS, A $m) - Marker (RHS) represents the Sportsbet comparative multiple



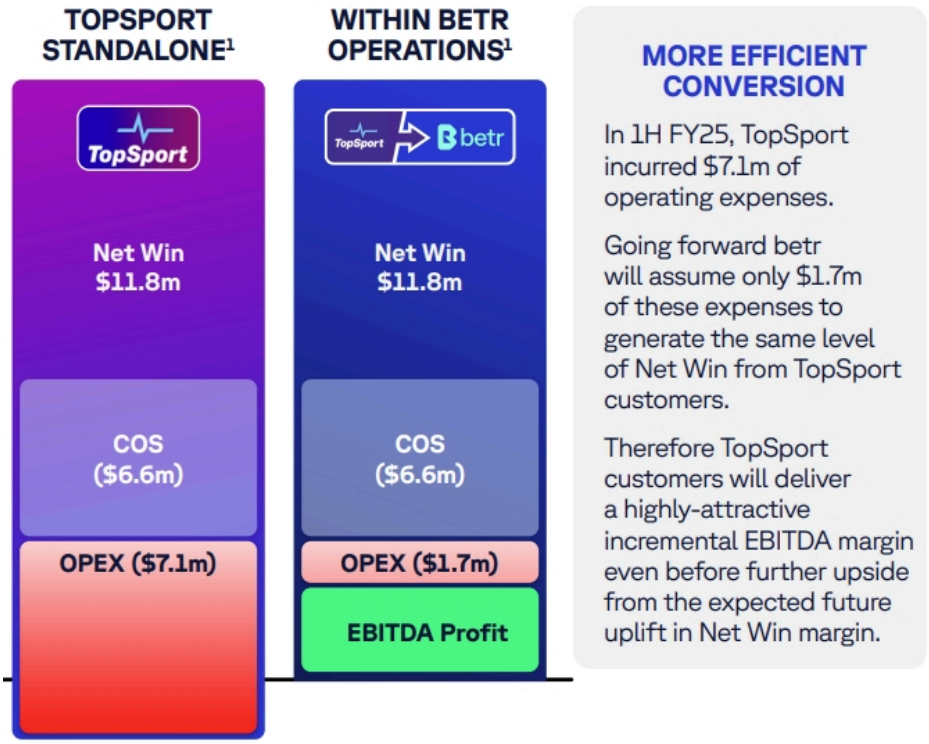
Source: Company Data, E&P Estimates. Note: Sportsbet data based on quarterly reports from their parent group Flutter.

TopSport & BlueBet

betr has already completed two integrations, giving it a track record. The BlueBet merger (July-2024) delivered cost synergies more than 20% ($2.9m) above the original estimate, and ahead of schedule.

It followed up by acquiring independent online bookmaker TopSport, migrating its customers onto betr's proprietary platform. The synergies were substantial as betr only carried ~$1.7m of TopSport's ~$7.1m operating cost base in 1H25. That ~$5.4m of cost-out alone turned a loss-making business into an EBITDA-profitable one. Management's focus post-acquisition has been dragging the TopSport cohort's net win margin back up toward betr's historical levels of above 10%.

Exhibit 6 - TopSport Acquisition Synergies



Source: betr

PointsBet Takeover Bid

In 2025, PointsBet was the subject of a takeover battle between Japan's MIXI and betr. MIXI ultimately secured a controlling 66.43% interest in September 2025, while betr built a 27.72% blocking stake that preserves its say over decisions requiring shareholder approval.

Once again, the strategic appeal lies in the synergies. betr identified over $40m of expected annual cost synergies from a full combination — $41.6m, comprising Labour ($17.6m), Marketing ($12.5m), Other ($6.0m) and Technology ($5.5m).

Exhibit 7 - Expected PointsBet Synergies from a Takeover



Source: betr

Potential Targets

Based on assessing the current Australian market, two potential targets stand out as the most logical. Both have been canvassed in public media over the past 12 months.

PointsBet

The first remains PointsBet. betr has not sold its 27.72% stake, potentially an indicator that a deal of some shape can still be reached. Given PointsBet's Australian business posted a soft quarter and its Canadian operations are not yet cash-flow generative, a deal could potentially become more palatable for MIXI. Multiple outcomes remain open — betr could sell its stake, MIXI could sell, or the two could settle on a joint-venture structure.

Entain

The second is Entain. Its parent has increasingly prioritised more attractive offshore markets, while its Australian arm has been hamstrung by AUSTRAC. Speculation is that Entain would part with its Australian business for the right price. That speculation sits within a broader period of portfolio simplification and deleveraging at the parent. In June 2026, Entain agreed to sell an initial 20% of its Central and Eastern European business to JV partner EMMA Capital for ~€425m, and it continues to trim its UK & Ireland retail estate against the UK's Remote Gaming Duty rising to 40%. Its 50/50 BetMGM JV is also in play, with a bid for parent MGM raising the prospect that a new owner buys out Entain's half. Entain screens cheap on a SOTP basis, and offloading the Australian arm at a full price would help crystallise that value.

One consideration we note is that Entain's Australian and NZ operations are somewhat entrenched. NZ now represents ~31.9% of ANZ net gaming revenue and holds a stronger growth trajectory. The two jurisdictions share the same tech stack and, seemingly, Entain would prefer to sell both given the dis-synergies that would arise from operating New Zealand alone. Entain's NZ TAB partnership also took considerable upfront investment and a non-trivial approval process, with Entain's balance sheet a key consideration in securing it. Entain has also announced plans to bid for three licences in the upcoming launch of a regulated New Zealand online casino market. These factors do not preclude a betr acquisition; they simply add an extra element. Should Entain prefer to sell ANZ as a single package, betr would need either to take on the New Zealand business itself or line up a separate buyer for the NZ component.

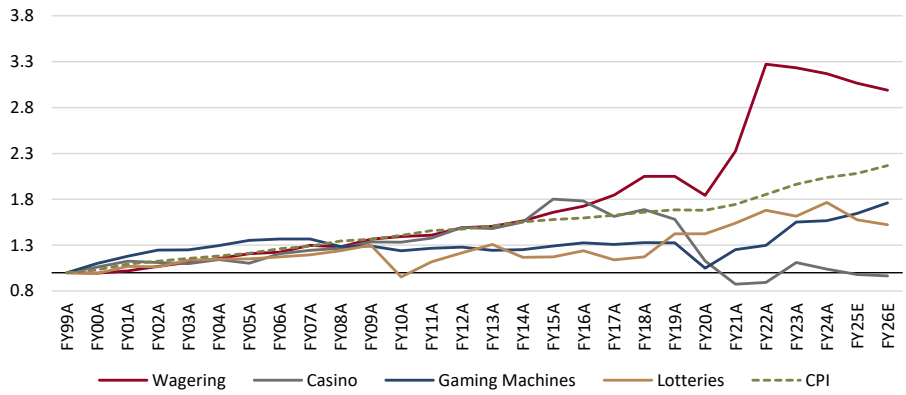
Tabcorp is the other logical acquirer (subject to ACCC clearance), though the AUSTRAC overhang and Tabcorp's subsequent share price pressure make it an unlikely acquirer at present.

Industry Landscape

For the first fifteen years of the 21st century, Australian wagering expenditure grew broadly in line with inflation. This changed from the mid-2010s, as digital operators gained traction and betting shifted primarily onto mobile phones, pushing expenditure per adult well above CPI and other gambling avenues. Growth paused briefly through FY20 as racing and sporting events were cancelled during covid. It then accelerated sharply in FY21 and FY22 as events resumed while punters remained at home - driving expenditure per adult to its peak.

Since that peak, net win has declined. Turnover has fallen further still, with operators widening net win margins to offset rising COGS (discussed in section below). Based on the available data & our industry feedback, we believe the industry returned to modest low-single-digit growth in CY26, led by a particularly strong March quarter. The onset of the Middle East escalation and rising petrol prices then caused a 5-6 week slowdown, before the fuel-excise cut and the ongoing FIFA World Cup helped wagering volumes rebound.

Exhibit 8 - Australian Gambling Expenditure per Adult Index (FY99 = 1.0)



Source: Australian Gambling Statistics, ABS, Company Reports, Various Government Agencies, E&P Estimates

Reasons for the Pullback

Below we detail some of the reasons for the recent pullback of wagering expenditure and the current status of each of these drivers.

POCT

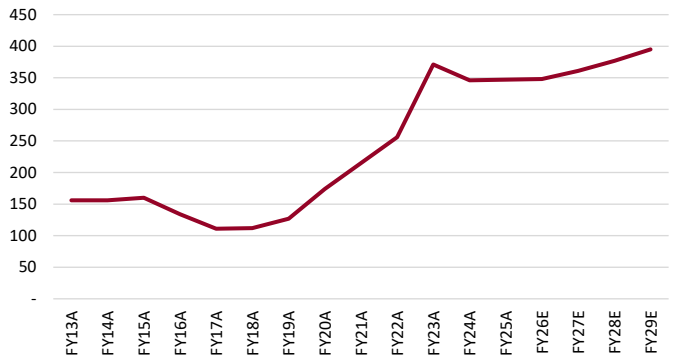
Point-of-consumption tax (POCT) was introduced because state governments earned little revenue from the corporate bookmakers licensed in other jurisdictions (mostly the Northern Territory), despite bets being placed within state borders. Below we show the NSW state budget, where wagering revenue declined from around FY15 as the NT-licensed books gained ground on Tabcorp, which was effectively the only operator paying state wagering taxes given its combined online and retail licence.

Tabcorp had long argued for a "level playing field" on this front. South Australia introduced POCT first, with the other states following, such that it applied across all the major wagering markets by 1 January 2019. Rates have since been ratcheted up to where they sit today, with the current status by state set out below. On aggregate, POCT currently sits in the low 20s% for operators as a % of net win, ahead of those detailed numbers due to the treatment of free bets.

The industry has been pushing back against these rates. Sportsbet and Entain both de-prioritised Queensland after it lifted its rate to 20%. Queensland came close to cutting back to 15% following a review late last year, with the two operators willing to contribute a rumoured $300m upfront to help bridge the funding gap. The change ultimately fell through, and with that window having passed, a cut now looks unlikely to be revisited for some years.

NSW is the other state subject to persistent speculation, though there the rumoured move is an increase, to 20% from 15%. We see this as more likely were Peter V'landys to leave Racing NSW for the NRL full-time. He would probably then push for sport to get a carve-out of POCT, which would more likely come from an increase as neither racing nor the government would likely forgo their share. Were NSW to move, a domino effect across the other states could follow.

Exhibit 9 - NSW Government Revenue from Wagering (A$m)



Source: NSW Government, E&P Estimates

Exhibit 10 - Australian POCT by State

	NSW	VIC	QLD	WA	SA	TAS	ACT	NT
POCT rate	15%	15%	20%	15%	15%	15%	25%	No POCT
Tax-free threshold (p.a.)	$1,000,000	$1,000,000	$300,000	$150,000	$150,000	$150,000	$150,000	NA
Last rate change	1-Jul-22	1-Jul-24	1-Dec-22	1-Jan-19	1-Jul-17	1-Jan-20	1-Jul-23	NA
Racing Industry Flow	33%	50%	80%	30%	20%	80%	Nil	NA
Level Playing Field (Tabcorp)	No	Yes	Yes	NA	Yes	Yes	Yes	NA

Source: Various State Gaming Bodies, E&P Estimates

AUSTRAC

AUSTRAC, Australia's AML/CTF regulator, has been another drag on the sector. It is not afraid to dish out big fines, having previously penalised Westpac ($1.3bn), Commonwealth Bank ($700m) and Crown ($450m), and fined Tabcorp $45m as far back as 2017. More recently, the online wagering sector has been a key focus, with most of the major players drawn into varying degrees of investigations over the past five years.

Within the online sector, AUSTRAC has weighed most heavily on Entain. The matter has now run for a number of years, officially beginning when AUSTRAC commenced an enforcement investigation in September 2022 and is set to conclude with a Federal Court hearing set for late November 2026. Entain has had to cut off a number of VIP customers, which saw a ~10% hit to revenue, in conjunction with $10m+ of compliance cost uplift. The group currently carries a $100m provision against a potential penalty. Its strong April quarter suggests it is now beginning to cycle through those customer losses. Sportsbet and bet365 both entered into enforceable undertakings, avoiding fines while committing to strengthen their compliance.

Attention now appears to be shifting toward retail channels. AUSTRAC launched an investigation into Tabcorp's compliance in May 2026 (speculated at their retail arm). More broadly, it remains to be seen whether AUSTRAC has, for now, largely worked through the digital bookmakers and is turning to retail settings, including Tabcorp's venue network and, more recently, the NSW clubs and their poker machines.

Across the sector, the result over the past three to four years has been some revenue foregone as high-value customers were offboarded, alongside higher compliance costs, the bulk of which are recurring. That said, we expect some easing on two fronts. The first is AI, which should lower costs and lift the efficiency of compliance. The second is regulatory, with proposed amendments to the Interactive Gambling Act that would oblige financial institutions to block transfers to accounts held by illegal gambling operators, and allow ACMA to share information with those institutions to support that blocking. In principle, if the banking system itself denies illegitimate operators access to payments, much of the policing now pushed onto the wagering sector would become less necessary.

BetStop & Other Regulatory Measures

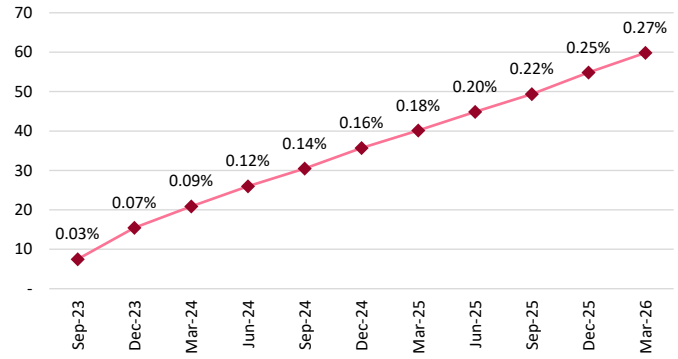
BetStop, the national self-exclusion register, launched in August 2023. It has since drawn close to 60,000 total registrations, 0.27% of the adult population. Industry feedback indicates that the revenue impact has been low-to-mid single digits overall, as registrants are more likely skewed toward higher-turnover gamblers. The Albanese gambling reforms are set to strengthen BetStop further, through wider promotion and tighter controls to stop registered users circumventing their exclusion.

Beyond BetStop, the government has also introduced a range of other responsible-gambling measures over recent years, which have each had a small but incremental impact on turnover:

- Mandatory customer ID pre-verification for all new online wagering accounts.
- A ban on credit cards for online wagering.
- Monthly activity statements sent to customers, setting out wins and losses.
- New tag lines in wagering advertising.
- Nationally consistent training for wagering staff.

Any further measures could act as an additional drag. These include mandatory deposit or spending limits (such as the measures introduced in casinos) and tighter restrictions on inducements.

Exhibit 11 - BetStop Cumulative Registrations (000's) - label as % of Australian Adult Population



Source: ACMA, ABS, E&P Estimates

Trajectory of Australian Wagering within the Broader Gambling Industry

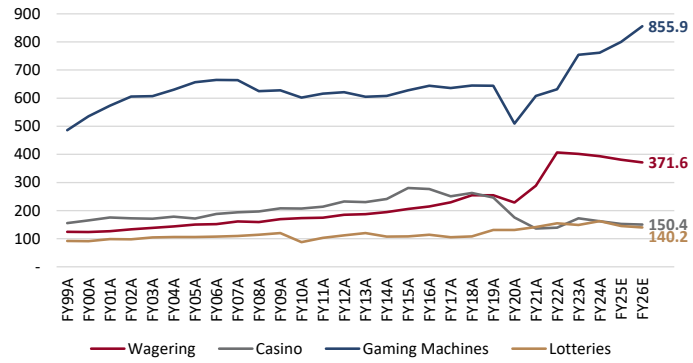
As covered earlier, wagering expenditure broke out in Australia from the mid-2010s and peaked through FY21–FY22 before pulling back due to the aforementioned reasons. Wagering remains the second-largest segment by expenditure per adult ($372), sitting well behind gaming machines ($856) on FY26 estimates.

Recent trends have diverged sharply across the four:

- Wagering has pulled back from its post-covid highs, compounded by regulatory intervention.
- Gaming machines have been surging, and have driven the bulk of the industry's growth over the past few years.
- Lotteries have delivered steady growth, albeit with a year-to-year path shaped by jackpot cycles.
- Casinos have been the clear laggard, with regulatory measures proving detrimental to expenditure, though that decline now appears to have stabilised.

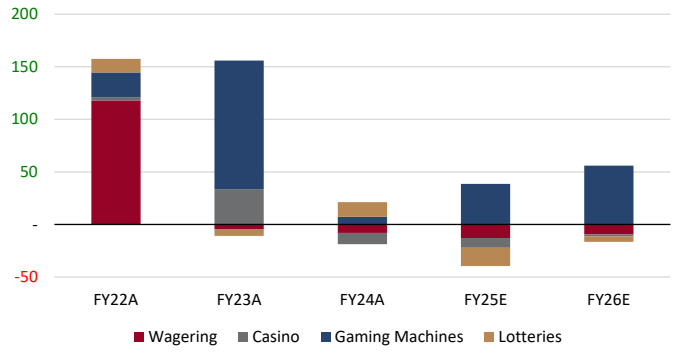
Over the last 15 years, net losses from gambling have made up ~2.5% of household consumption.

Exhibit 12 - Australian Gambling Expenditure per Adult (A$ p.a.)



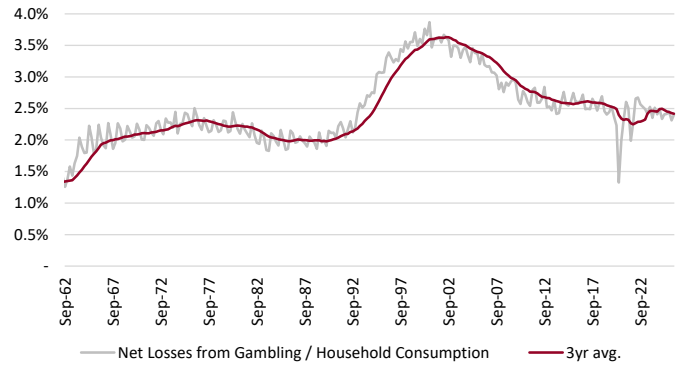
Source: Australian Gambling Statistics, ABS, Company Reports, Various Government Agencies, E&P Estimates

Exhibit 13 - Net Change in Australian Gambling Expenditure per Adult (A$ p.a.)



Source: Australian Gambling Statistics, ABS, Company Reports, Various Government Agencies, E&P Estimates

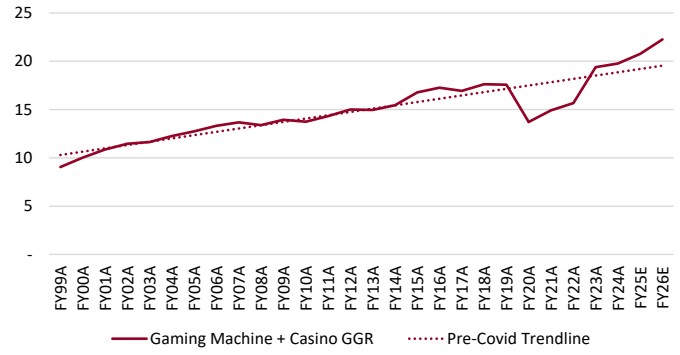
Exhibit 14 - Gambling Spend as a proportion of Household Consumption



Source: ABS, E&P Estimates

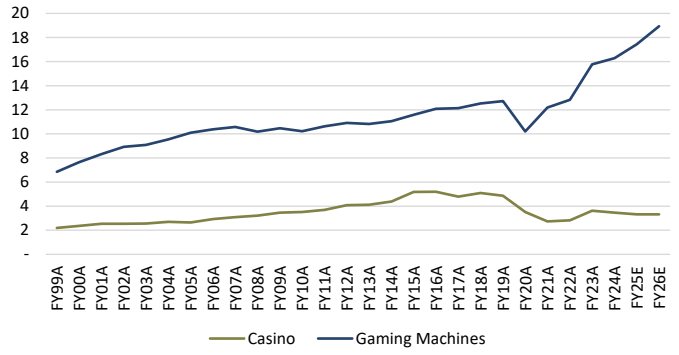
Within these four categories, we believe there are varying degrees of correlation, as each competes for a share of the same discretionary spend. We suspect the strongest correlation is between casinos and gaming machines in clubs and hotels. Combined, their expenditure has normalised post-covid, back to its pre-covid trendline. Beneath that steady aggregate, however, casinos are well down while gaming machines have surged. We think it highly likely that players have simply moved from one to the other, due to materially increased compliance measures at casinos which have them competing on an uneven playing field.

Exhibit 15 - Combined Gaming Machine (Clubs & Hotels) & Casino Expenditure (A$bn)



Source: Australian Gambling Statistics, Company Reports, Various Government Agencies, E&P Estimates

Exhibit 16 - Gaming Machine (Clubs & Hotels) & Casino Expenditure (A$bn)



Source: Australian Gambling Statistics, Company Reports, Various Government Agencies, E&P Estimates

Pokies Regulation as a Potential Catalyst

One event we are actively watching as a potential catalyst is a tougher stance on poker machines. We believe any crackdown could have potential flow-through benefits for wagering (and the other gambling segments). The most significant development sits in New South Wales, home to around half the national machine base.

At its July 2026 state conference, NSW Labor adopted a harder poker-machine platform for the March 2027 election. Key features of that package would:

- Significantly reduce machine numbers over a decade.
- Lift taxes on clubs earning more than $20m from machines.
- Abolish VIP perks such as bonus credits and free food.
- Mandate facial recognition in every gaming room to underpin a statewide exclusion register.

These are election commitments rather than law, so both timing and final form remain uncertain.

Because the gaming machine pool is more than twice the size of wagering by expenditure per adult, even a partial shift could be a meaningful uplift to wagering. For example, a 10% fall in gaming-machine expenditure, with 10% of it redirected to wagering, would lift wagering expenditure by ~2.3%.

We would stress the wide range of outcomes, and we have not reflected any of these changes in our current financial forecasts for betr. It hinges on the reforms passing, the scale of any machine reduction, and how much of the freed-up spend actually flows to wagering.

Exhibit 17 - Sensitivity Table based on a potential shift of Gaming Machine Expenditure to Wagering

		Decrease in Gaming Machine Expenditure					
		5%	10%	15%	20%	25%	30%
Expenditure that Shifts to Wagering	5%	0.6%	1.2%	1.7%	2.3%	2.9%	3.5%
	10%	1.2%	2.3%	3.5%	4.6%	5.8%	6.9%
	15%	1.7%	3.5%	5.2%	6.9%	8.6%	10.4%
	20%	2.3%	4.6%	6.9%	9.2%	11.5%	13.8%
	25%	2.9%	5.8%	8.6%	11.5%	14.4%	17.3%
	30%	3.5%	6.9%	10.4%	13.8%	17.3%	20.7%

Source: ABS, Various State Gaming Regulators, E&P Estimates

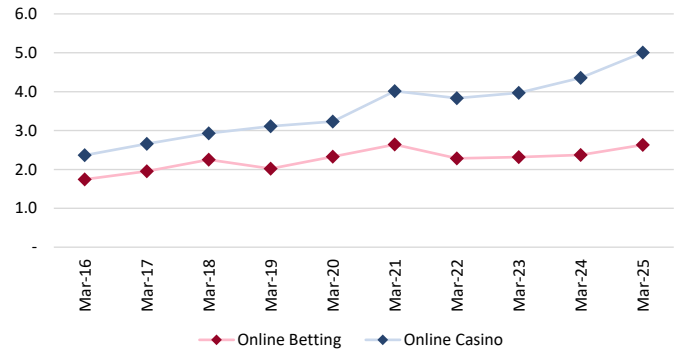
Threat of New Products

On the contrary, structural product shifts could cannibalise discretionary spend on wagering. The main candidates are the legalisation of online casino (iGaming), currently prohibited under the IGA, and the emergence of prediction (event-contract) markets.

In our view, iGaming is the most significant threat, albeit still highly unlikely in the next 5-10 years. In markets where both online casino and wagering are licensed, such as the US and Europe, online casino is often 2-3x the size. In the UK, its gross gaming revenue growth has outpaced online betting in each of the last five years.

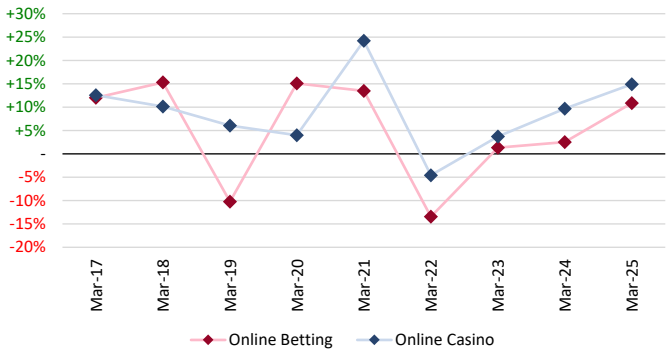
Prediction markets also appear unlikely to take hold in Australia. The market has an established licensed sports-betting sector and a very different regulatory posture. ACMA has already made this clear, blocking Polymarket in August 2025 after determining it offered a prohibited, unlicensed gambling service under the IGA.

Exhibit 18 - UK Online Betting & Casino GGR (£bn.)



Source: UKGC, E&P Estimates

Exhibit 19 - UK Online Betting & Casino GGR Growth



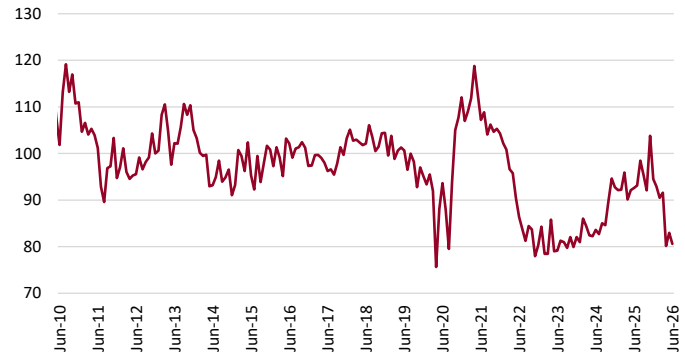
Source: UKGC, E&P Estimates

Macro Trends

Higher interest rates and broader macro conditions have been a meaningful drag on households over the past three years. Wagering is arguably more exposed to the cycle than the other gambling segments, given a younger customer base that, on aggregate, holds less savings. Accordingly, many bookmakers have noted that, while betting frequency has held up, average bet sizes have come down.

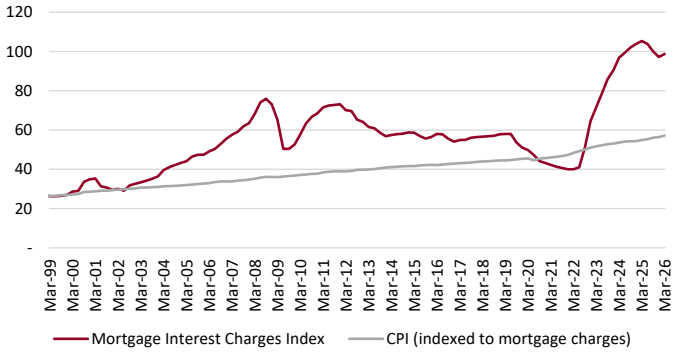
Encouragingly, were it not for the Middle East escalation, conditions had been trending upward. The war led to higher petrol prices, which have weighed on the near-term picture alongside soft consumer sentiment. The Westpac–Melbourne Institute Consumer Sentiment Index sat at 80.6 in June 2026, among the weakest readings in the survey's fifty-year history. Were the conflict to resolve and related macro pressures ease, conditions could improve quickly. That said, we are wary that most analysts are now forecasting a further rate rise before year-end.

Exhibit 20 - Westpac–Melbourne Institute Consumer Sentiment Index



Source: Westpac Economics, Melbourne Institute, E&P Estimates

Exhibit 21 - Mortgage Interest Charge (index) relative to CPI



Source: ABS, E&P Estimates

Competitors

Sportsbet

Sportsbet is owned by Flutter Entertainment plc — the world's largest online betting operator, listed on the NYSE with a secondary listing on the LSE. It is the market leader in Australian online wagering, with a ~42% share built through both organic and inorganic growth. Its scale was consolidated by Flutter's 2020 merger with The Stars Group, which absorbed BetEasy into the Sportsbet brand. It then continued to take share organically through the high sector growth period of FY21-FY22.

Sportsbet is known for product innovation such as same-game multis and has an app generally regarded as the best in the industry. Its strong brand is built on aggressive marketing, with broadcast TV advertising and sponsorship often intertwined with the promotion of its odds by notable industry figures. It also has a strong social media presence and sporting-code integration, such as exclusive deals with the AFL and NRL.

Flutter's focus has increasingly shifted offshore as the Australian market has slowed and other, more attractive international markets have opened up. These include the US (via FanDuel), Brazil and Italy. As a result, Australia has fallen from 21.4% of group revenue in 2021 to just 8.0% in 2025. Flutter accordingly stopped reporting Australia as a separate segment in 2025, incorporating it into APAC.

Exhibit 22 - Sportsbet Financial Profile

		FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
Period End	Units	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25
P&L									
Revenue	**A$m**	**717.1**	**820.5**	**1,653.0**	**2,382.2**	**2,245.3**	**2,188.9**	**2,114.3**	**2,038.4**
Cost of Sales	A$m	-225.1	-342.1	-791.6	-1,182.7	-1,100.9	-1,187.8	-1,156.9	-1,114.7
Gross Profit	**A$m**	**492.0**	**478.4**	**861.4**	**1,199.6**	**1,144.4**	**1,001.1**	**957.4**	**923.7**
Advertising & Marketing Expenses	A$m	-122.3	-113.5	-156.7	-187.5	-217.9	-222.3	-232.2	-201.9
Other Opex	A$m	-224.4	-230.9	-413.5	-382.7	-370.6	-396.4	-440.2	-440.4
EBITDA (Statutory)	**A$m**	**145.3**	**134.0**	**291.2**	**629.3**	**555.9**	**382.4**	**285.0**	**281.4**
NPAT (Statutory)	**A$m**	**64.1**	**57.1**	**146.6**	**369.3**	**316.3**	**186.3**	**115.8**	**79.7**
Ratios									
Cost of Sales as a % of Revenue	%	-31.4%	-41.7%	-47.9%	-49.6%	-49.0%	-54.3%	-54.7%	-54.7%
Advertising & Marketing as a % of Revenue	%	-17.0%	-13.8%	-9.5%	-7.9%	-9.7%	-10.2%	-11.0%	-9.9%
EBITDA Margin (Statutory)	%	20.3%	16.3%	17.6%	26.4%	24.8%	17.5%	13.5%	13.8%
NPAT Margin (Statutory)	%	8.9%	7.0%	8.9%	15.5%	14.1%	8.5%	5.5%	3.9%

Source: Company Reports, E&P Estimates. Note: Figures are Statutory and from the Australian subsidiary. This differs to the comparison vs. PointsBet which uses normalised figures from the parent group.

Tabcorp

Tabcorp is the largest publicly listed wagering company on the ASX, with ~22% of the digital market. It also holds a monopoly on all of Australia's retail wagering licences, excluding WA. Throughout the late 2000s and 2010s, Tabcorp battled a rise of international online-only bookmakers licensed out of the NT, which took share through a superior digital product and an uneven regulatory and tax landscape.

Following the 2022 demerger of its lotteries and keno business, Tabcorp pursued a digital-led strategy to close that gap, rolling out a new app. This stopped the ceding of market share to Sportsbet and Entain, albeit it never reached the 30% digital market share targeted for 2025 (TAB25) under old management.

Under new CEO Gillon McLachlan, the focus has turned to reinvigorating retail. This includes modernising betting terminals, rolling out in-venue live betting via its app, running retail-only promotions such as "TAB Time," and reworking its compensation structure. It is separately progressing a single national tote, with NSW the last remaining holdout. Its retail weighting arguably leaves it best placed among the majors for advertising restrictions, though recent momentum has been checked by an AUSTRAC enforcement investigation, with market speculation pointing to its retail channel as the focus.

A parallel priority has been securing a "level playing field" on product fees and unwinding the tax disadvantages tied to its retail licences. NSW is the major unresolved jurisdiction, worth a possible ~$150m EBITDA uplift p.a., albeit the sentiment on achieving this has cooled over the past 18 months.

Tabcorp owns SkyRacing, a key asset for its digital product and a bargaining chip in retail. Its gaming-machine monitoring business (Max) is strongly cash-generative but non-core, and would likely be sold if an attractive offer were received. It also holds a 20% stake in social betting operator Dabble.

Exhibit 23 - Tabcorp Financial Profile

		FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
Period End	Units	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22	Jun-23	Jun-24	Jun-25
Turnover									
Racing	A$m					11,770	11,947	11,361	10,903
Sport	A$m					2,124	2,604	2,697	2,840
Total									
Digital Wagering									
Turnover	**A$m**					**9,697.0**	**9,266.7**	**8,809.1**	**8,381.9**
Net Margin	%					13.4%	12.3%	12.7%	12.9%
Net Digital Revenue pre VRI Share	A$m					1,302.1	1,142.1	1,116.4	1,081.2
Other	A$m					-228.6	-199.4	-194.4	-11.5
Digital Wagering Revenue	**A$m**					**1,073.5**	**942.7**	**922.0**	**1,069.7**
Retail Wagering									
Turnover	**A$m**					**4,196.7**	**5,284.1**	**5,248.6**	**5,361.0**
Net Margin	%					16.7%	16.7%	17.1%	17.1%
Net Retail Revenue pre VRI Share	A$m					698.8	882.0	895.8	917.4
Other	A$m					-44.8	-63.6	-74.0	48.3
Retail Wagering Revenue	**A$m**					**654.0**	**818.4**	**821.8**	**965.7**
Wagering & Media P&L									
Digital	A$m					1,073.5	942.7	922.0	1,069.7
Cash	A$m					654.0	818.4	821.8	965.7
International	A$m						249.3	212.3	232.2
Media External	A$m						220.4	206.7	171.2
Revenue	**A$m**					**2,181.9**	**2,230.8**	**2,162.8**	**2,438.8**
Taxes and Commissions	A$m					-1,380.6	-1,455.8	-1,404.6	-1,522.9
Variable contribution	**A$m**					**801.3**	**775.0**	**758.2**	**915.9**
Opex	A$m					-514.3	-467.0	-507.0	-586.8
Normalised EBITDA	**A$m**					**287.0**	**308.0**	**251.2**	**329.1**

Source: Company Reports, E&P Estimates

Entain

Entain operates the Ladbrokes and Neds brands in Australia, holding ~16% of the online market. Its parent, Entain plc, is listed on the London Stock Exchange (FTSE 100) and owns UK brands Ladbrokes and Coral, plus a 50/50 US joint venture, BetMGM. As with Sportsbet, its growth focus has increasingly shifted to more attractive international markets in recent years.

In Australia, Entain has recently been something of a disruptor to Tabcorp's unique assets. It has attempted to build its own racing media on free-to-air to compete with SkyRacing. It also attempted to push Ladbrokes-branded lounges into retail venues, though it has since ceased this venture.

Despite investigations into most of the major players in the sector, AUSTRAC has weighed most heavily on Entain over the past five years. Entain has had to cut off a number of VIP customers, which saw a ~10% hit to revenue, in conjunction with $10m+ of compliance cost uplift. The group currently carries a $100m provision against a potential penalty, with a Federal Court hearing set for late November 2026.

Entain recently expanded into New Zealand in 2023 through a 25-year partnership with TAB NZ. It holds a monopoly on both retail and online wagering, and has committed NZ$100m to the local racing sector. New Zealand's separate online casino market is currently grey but is being legalised, with go-live expected from December 2026. Entain intends to apply for three of the 15 available licences.

Exhibit 24 - Entain ANZ Financial Profile

		FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
Period End	Units	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25
P&L									
Net Gaming Revenue — Australia	A$m	293.9	420.0	650.1	765.3	832.0	763.4	771.8	725.0
Net Gaming Revenue — New Zealand	A$m						168.3	275.1	339.0
Net Gaming Revenue	**A$m**	**293.9**	**420.0**	**650.1**	**765.3**	**832.0**	**931.6**	**1,046.9**	**1,064.0**
Other Revenue	A$m	0.5	0.8	0.2	0.0	0.0	34.8	60.2	48.5
Total Revenue	**A$m**	**294.4**	**420.8**	**650.4**	**765.3**	**832.0**	**966.4**	**1,107.0**	**1,112.5**
Licence Fees	A$m	-0.7	-0.9	-0.6	-0.5	-0.1	-1.8	-2.3	-1.5
Product Fees	A$m	-80.0	-112.2	-155.1	-175.8	-190.8	-205.6	-227.6	-243.9
POCT	A$m	-6.4	-67.9	-106.8	-118.0	-153.6	-172.6	-180.5	-179.2
Other COGS	A$m	-27.5	-31.3	-47.4	-45.3	-46.6	-35.3	-35.2	-53.7
Total Cost of Sales	**A$m**	**-114.6**	**-212.4**	**-309.9**	**-339.7**	**-391.1**	**-415.2**	**-445.7**	**-478.2**
Gross Profit	**A$m**	**179.8**	**208.4**	**340.5**	**425.7**	**441.0**	**551.2**	**661.4**	**634.3**
Marketing Costs	A$m	-80.4	-113.6	-111.4	-128.4	-133.0	-166.0	-211.2	-173.7
Other Opex	A$m	-65.9	-83.2	-80.2	-111.9	-157.6	-244.0	-613.1	-400.9
EBITDA (Statutory)	**A$m**	**33.5**	**11.6**	**148.9**	**185.3**	**150.4**	**141.2**	**-162.9**	**59.7**
NPAT (Statutory)	**A$m**	**19.6**	**-5.5**	**90.8**	**113.1**	**96.4**	**-37.6**	**-403.1**	**-142.7**
Ratios									
Cost of Sales as a % of Revenue	%	-38.9%	-50.5%	-47.6%	-44.4%	-47.0%	-43.0%	-40.3%	-43.0%
Marketing as a % of Revenue	%	-27.3%	-27.0%	-17.1%	-16.8%	-16.0%	-17.2%	-19.1%	-15.6%
EBITDA Margin (Statutory)	%	11.4%	2.8%	22.9%	24.2%	18.1%	14.6%	-14.7%	5.4%
NPAT Margin (Statutory)	%	6.7%	-1.3%	14.0%	14.8%	11.6%	-3.9%	-36.4%	-12.8%

Source: Company Reports, E&P Estimates

bet365

bet365 is a privately owned global betting operator, headquartered in the UK and active across more than 200 markets. It holds ~6% of the Australian digital market.

A strong global brand, bet365 has leaned on international celebrities in its advertising, most notably Samuel L. Jackson, its long-time Australian face. It pioneered in-play betting globally (albeit prohibited in Australia except by telephone) and is known for deep markets and competitive pricing.

In July 2026, bet365's Australian arm entered into an enforceable undertaking with AUSTRAC to overhaul its anti-money laundering systems, after the regulator identified serious gaps in how it manages risk and reports suspicious transactions. It must report progress by 31 December 2026 and deliver a final auditor's report by 30 July 2027.

Exhibit 25 - bet365 Australia Financial Profile

		FY17A	FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A
Period End	Units	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
P&L									
Total Revenue	**A$m**	**115.2**	**121.4**	**147.3**	**190.4**	**200.5**	**201.5**	**263.1**	**295.8**
Government Taxes & Levies	A$m	-29.9	-41.3	-56.1	-70.9	-74.6	-80.2	-99.1	-115.9
Advertising Expense	A$m	-30.3	-36.8	-32.8	-37.0	-41.5	-44.6	-42.1	-49.7
Intercompany Costs	A$m	-11.8	-5.7	-24.7	-22.6	-10.5	1.1	-7.5	-7.3
Other Expenses	A$m	-40.9	-48.0	-50.4	-54.3	-56.0	-65.1	-85.1	-96.3
Total Expenses	**A$m**	**-112.9**	**-131.8**	**-164.0**	**-184.8**	**-182.7**	**-188.8**	**-233.8**	**-269.2**
EBITDA (Statutory)	A$m	2.3	-10.4	-16.5	5.9	18.1	13.2	30.2	27.5
NPAT (Statutory)	A$m	0.9	-8.7	-13.9	1.0	10.0	6.3	17.3	14.8
Ratios									
Advertising as a % of Revenue	%	-26.3%	-30.3%	-22.2%	-19.5%	-20.7%	-22.1%	-16.0%	-16.8%
EBITDA Margin (Statutory)	%	2.0%	-8.6%	-11.2%	3.1%	9.0%	6.5%	11.5%	9.3%
NPAT Margin (Statutory)	%	0.8%	-7.1%	-9.5%	0.5%	5.0%	3.1%	6.6%	5.0%

Source: Company Reports, E&P Estimates.

PointsBet

PointsBet is an ASX-listed, online-only operator with ~5% market share. It is more sports-weighted than its peers, with a book approaching an even split between sport and racing. It is well regarded for its sports technology and product, including its latest innovation, "Pull 'Em," which lets punters remove a leg from a same-game multi mid-game. Its primary brand ambassador is Shaquille O'Neal.

PointsBet exited the US in 2023, selling that business to Fanatics for US$225m, while retaining a perpetual, royalty-free licence to the well-regarded Banach trading technology. It also retained its Canadian business, which contributed ~16% of revenue in FY25 though is not yet EBITDA profitable.

In 2025, PointsBet was the subject of a takeover battle between Japan's MIXI and betr. MIXI ultimately secured a controlling 66.43% interest in September 2025, while betr built a 27.72% blocking stake that preserves its say over decisions requiring shareholder approval.

Exhibit 26 - PointsBet Financial Profile

		FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
Period End	Units	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22	Jun-23	Jun-24	Jun-25
Australian Wagering KPIs									
Turnover	**A$m**		**490.1**	**830.5**	**1,989.0**	**2,536.4**	**2,632.6**	**2,676.8**	**2,314.2**
Gross Win	**A$m**		**50.5**	**100.8**	**257.3**	**338.4**	**309.1**	**315.2**	**315.2**
Gross Win Margin	%		10.3%	12.1%	12.9%	13.3%	11.7%	11.8%	13.6%
Net Win	**A$m**		**28.9**	**75.1**	**166.1**	**215.4**	**211.7**	**233.1**	**240.6**
Net Win Margin	%		5.9%	9.0%	8.4%	8.5%	8.0%	8.7%	10.4%
Active Customers (LTM)	000's		68.5	90.4	96.6	239.1	238.6	227.9	237.4
Markets									
Revenue									
Australia	A$m	9.4	26.3	68.2	150.7	195.2	192.1	211.5	218.5
USA	A$m		-0.7	7.0	42.3	98.7	172.8		
Canada	A$m					0.2	18.2	34.0	42.9
EBITDA									
Australia	A$m	-4.7	-10.8	6.9	9.2	7.7	0.1	26.8	30.1
USA	A$m		-20.0	-38.2	-149.6	-197.4	-186.1		
Canada	A$m					-15.6	-35.8	-19.7	-15.1
P&L									
Revenue	**A$m**	**9.4**	**25.6**	**75.2**	**194.7**	**296.5**	**210.3**	**245.5**	**261.4**
Cost of Sales	A$m	-4.3	-14.8	-36.9	-107.0	-174.9	-104.6	-115.9	-124.4
Gross Profit	**A$m**	**5.1**	**10.9**	**38.2**	**87.6**	**121.6**	**105.7**	**129.6**	**137.0**
Marketing Expenses	A$m	-6.2	-24.9	-35.4	-170.7	-236.8	-90.3	-71.0	-62.5
Other Opex	A$m	-5.2	-23.1	-42.6	-79.3	-134.8	-258.4	-62.0	-70.2
EBITDA (Statutory)	**A$m**	**-6.3**	**-37.2**	**-39.7**	**-162.3**	**-250.0**	**-243.1**	**-3.4**	**4.2**
NPAT (Statutory)	**A$m**	**-6.7**	**-41.9**	**-41.5**	**-187.1**	**-267.7**	**-276.3**	**-42.3**	**-18.2**
Ratios									
Cost of Sales as a % of Revenue	%	-46.1%	-57.6%	-49.1%	-55.0%	-59.0%	-49.7%	-47.2%	-47.6%
Advertising & Marketing as a % of Revenue	%	-66.0%	-97.3%	-47.1%	-87.7%	-79.9%	-43.0%	-28.9%	-23.9%
EBITDA Margin (Statutory)	%	-67.4%	-145.1%	-52.8%	-83.4%	-84.3%	-115.6%	-1.4%	1.6%
NPAT Margin (Statutory)	%	-71.0%	-163.5%	-55.2%	-96.1%	-90.3%	-131.4%	-17.2%	-6.9%

Source: Company Reports, E&P Estimates

Dabble

Dabble is a privately owned operator, founded in 2020, and very much the "new kids on the block" among the major players, with ~3% of the Australian market. It pioneered social betting in Australia — a model built around following other users and copying their bets — and leans heavily on paid influencers to drive engagement. It has also been the subject of speculation around a potential IPO, with the NASDAQ or ASX cited as likely venues. Tabcorp acquired a 20% stake in 2022.

Dabble's primary growth focus is now the US, which it entered in 2023 via daily fantasy sports. Its DFS "Pick 'Em" product is now live in more than 30 states and has ranked among the top-10 sports apps in the US App Store. It also launched in the UK in 2025.

Exhibit 27 - Dabble Financial Profile

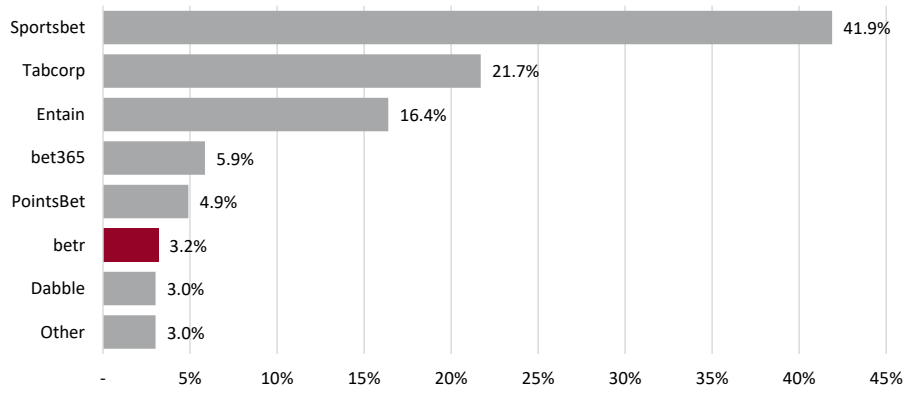
		FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
Period End	Units	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22	Jun-23	Jun-24	Jun-25
Markets									
Australia									
Racing - Gross Win	A$m							73.2	120.1
Sports - Gross Win	A$m							26.7	53.5
Promotions	A$m							-17.8	-25.7
EBITDA	**A$m**							**-3.8**	**17.2**
USA									
Racing - Gross Win	A$m							43.8	144.5
Sports - Gross Win	A$m							0.0	0.0
Promotions	A$m							-1.4	-4.0
EBITDA	**A$m**							**-6.7**	**1.4**
P&L									
Total Revenue	**A$m**						**45.5**	**117.6**	**275.4**
Cost of Sales	A$m						-34.4	-90.3	-180.0
Gross Profit	**A$m**						**11.1**	**27.3**	**95.4**
Advertising and Marketing Costs	A$m						-9.1	-12.4	-35.9
Other Opex	A$m						-16.0	-25.3	-42.4
EBITDA (Statutory)	**A$m**						**-14.0**	**-10.3**	**17.1**
NPAT (Statutory)	**A$m**						**-16.1**	**-14.2**	**14.3**
Ratios									
Cost of Sales as a % of Revenue	%						-75.6%	-76.8%	-65.4%
Marketing as a % of Revenue	%						-20.0%	-10.5%	-13.0%
EBITDA Margin (Statutory)	%						-30.8%	-8.8%	6.2%
NPAT Margin (Statutory)	%						-35.3%	-12.1%	5.2%

Source: Company Reports, E&P Estimates

Market Shares

Based on the available data, we estimate betr's current online market share of net win to be ~3.2%. Management have been vocal about acquiring share inorganically but also remain confident that they can take share organically as well.

Exhibit 28 - Australian Online Wagering Net Win Market Share - CY25



Source: Company Reports, E&P Estimates

Impending Advertising Restrictions

Summary

In April 2026, the Albanese government detailed its proposed changes to the Interactive Gambling Act, of which advertising restrictions were a key component. The government introduced the bill to parliament on 2 July 2026 and, if passed, the new laws would commence on 1 January 2027 and be phased in over three years.

Labor needs either Greens or Coalition support to pass the bill in the Senate. The Greens appear steadfast on pursuing a complete advertising ban, whilst recent media speculation suggests various Coalition members are seeking further restrictions beyond the Albanese proposal. Reflecting this, the bill has been referred to a Senate inquiry, expected to report in mid-August, which could see the proposed amendments altered or the bill delayed. For now, we have analysed the potential impacts based on the Albanese proposal.

Background

Depending on who you ask, the reforms have been long overdue. Change was deemed inevitable following the inquiry into online gambling in late 2022. This led to the report titled "You win some, you lose more" (see here) being tabled by the House of Representatives Standing Committee on Social Policy and Legal Affairs in June 2023. The report had 31 recommendations that apply a public health lens to online gambling to reduce harm to Australians.

Among the recommendations was a complete ban on gambling advertising to be phased in over three years, along with other measures such as a ban on inducements and the creation of a national gambling regulator. The government subsequently delayed making legislative change due to a combination of the passing of Labor MP Peta Murphy, who chaired the inquiry, and to allow for further consultation with various industry stakeholders.

Since then, the wagering industry has to some extent self-regulated.

- There has been a significant pull-back in TV advertising volumes, with multiple bookmakers voluntarily ceasing advertising during specific time slots.
- Sportsbet have pulled certain types of ads, such as announcing that they would cease their promotion of odds segments during halftime breaks due to community sentiment.
- Sportsbet have also chosen not to activate their in-stadia wagering advertising, which is one component of their $100m seven-year deal with the AFL to be its exclusive wagering partner.
- Overall, wagering advertising spend decreased significantly between 2022 and 2024, down 62% across platforms tracked by Nielsen.

Exhibit 29 - Nielsen Ad Intel – Wagering advertising spend

	2018		2022		2024	
	$ (m)	%	$ (m)	%	$ (m)	%
Television	103.0	1.4	127.9	3.3	41.4	1.3
Radio	12.7	0.8	10.7	1.5	5.0	0.7
Online	-	-	43.8	0.9	22.7	0.5

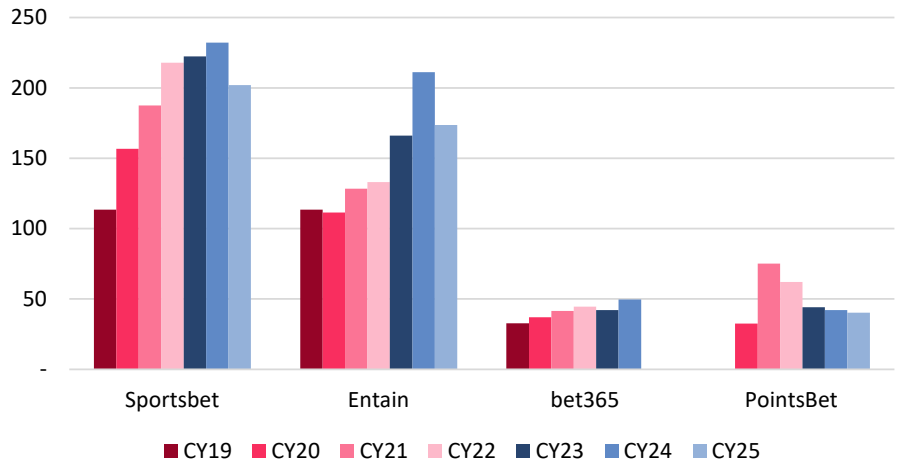
Table notes:

1. Percentages show the proportion that wagering advertising accounts for out of the total advertising revenue for each sector.
2. Television figures includes all free-to-air channels in metropolitan and regional areas (including SBS). Does not include advertisements shown on associated streaming services (e.g. 7plus or 9Now) or subscription television services such as Foxtel.
3. Radio figures only include metropolitan AM and FM radio stations (including commercial broadcasters and narrowcasters). Nielsen does not collect data on regional stations.
4. Online figures cover general display (e.g. static banner ads on websites) and social media (e.g. Facebook and Instagram). It does not capture all platforms. Representative data is not available from 2018.

Source: Department of Infrastructure, Transport, Regional Development, Communications, Sports and the Arts

However, when looking at the companies' financial reports, advertising & marketing expenses have not fallen as much as the Nielsen data above indicates (albeit they have still reduced). This suggests that bookmakers have already pivoted their spend in anticipation of the impending restrictions.

Exhibit 30 - Australian Marketing Expense by Major Bookmakers (A$m)



Source: Company Reports, E&P Estimates. Notes: Entain includes the launch of New Zealand which is likely the reason for the step up from CY23-CY25.

Proposed Restrictions

The proposed wagering advertising restrictions are as follows:

- Broadcast & Radio specific:
  - Ban all wagering advertising during live sporting events on broadcast channels (television and radio) between 6:00am and 8:30pm.
  - Restrict all wagering advertising on broadcast television to no more than three wagering advertisements per hour per channel between 6:00am and 8:30pm.
  - Ban all wagering advertising on broadcast radio during school drop-off (8:00-9:00am) and pick-up (3:00-4:00pm) times.
- General:
  - Ban the use of notable people (including celebrities and sports stars) and the promotion of odds in wagering advertising.
  - Ban all wagering advertising in sports venues and on players' and officials' uniforms.
  - Ban all wagering advertising on online platforms, except where users are logged in, are 18 years or older, and have not opted out of such advertising (triple lock functionality).

Notably there is a carve out for dedicated racing & wagering services. This includes the following:

- Channels - such as SkyRacing.
- Programs - such as the Melbourne Cup.
- Venues - such as Racetracks & Tab outlets.
- Websites - such as racing.com & betr.com.au.
- Sponsorship - including clubs, racetracks, events & individual races.

Industry Impact

We believe this is a reasonably positive outcome for the bookmakers and in-line with industry expectations for the past few years. The original Peta Murphy report called for a phased ban on all gambling advertising over four stages that would culminate in a complete ban after three years. It also recommended other measures such as banning all inducement (promos) and a review pointing toward mandatory pre-commitment.

Impact Review Study

The outcome is also in-line with the option that was recommended following an Impact Analysis from the Department of Infrastructure, Transport, Regional Development, Communications, Sports and the Arts (see here). The analysis considered three options:

- Option 1 – The status quo
- Option 2 – Enhanced wagering advertising restrictions and a strengthening of ACMA (Australian Communications and Media Authority).
- Option 3 – A complete ban on wagering advertising and a strengthening of ACMA.

The department deemed that Option 2 gave the appropriate balance between meeting the stated policy objectives without unduly impacting the sustainability of the affected sectors. They were especially concerned with the impact on non-wagering stakeholders such as broadcasters, sporting bodies, governments & not-for-profits.

It's worth noting that last year Anika Wells was appointed as the new Minister for Communications, the department responsible for enforcing the restrictions. She is also the Minister for Sport and thus a balanced outcome was expected. She noted that the government was primarily focused on children's exposure to gambling advertising, but also wanted to address the issue of influencers widely promoting wagering content.

Interestingly the impact analysis calculated that the wagering industry would be a net beneficiary under Option 2. They estimated that wagering service providers will recoup around $66.5m through lower advertising spend against an estimated $62.7m reduction in wagering expenditure (net +$3.8m). This was based on the following assumptions:

- Broadcasters will lose around 30% of their wagering advertising-related revenue.
- Sports will lose 100% of their sponsorship revenue. However, they may be able to retain 10% of the existing revenue through wagering advertising on their websites.
- Online platforms on the whole will not see a reduction. The wagering sector is likely to maintain or increase wagering advertising on online platforms that implement the triple lock function.

Under Option 3, the report calculated that the wagering industry would be a net beneficiary by even more (+$29.7m), as once again advertising savings ($139.2m) would more than offset the reduction in wagering revenue ($109.5m).

Our view is that both of these outcomes are likely too optimistic for the wagering industry.

- The reduction in wagering volumes implies a decline of -0.8%/-1.4% for Options 2/3 respectively, which we believe is too low.
- It's also worth noting that some of the bookmakers themselves lobbied for softer restrictions, thus seemingly viewing them as net negative change.

Exhibit 31 - DITRDCSA Impact Study - Industry Revenue from Gambling Advertising Based on Proposed Restrictions (A$m)

Segment	Broadcasters	Sporting Bodies	Online Platforms	Wagering Participants	Total
Option 2					
2024 Base Line	64.0	52.5	22.7	0.0	139.2
Post Restrictions	44.8	5.2	22.7	3.8	76.5
Net Impact	-19.2	-47.3	-	+3.8	-62.7
Option 3					
2024 Base Line	64.0	52.5	22.7	0.0	139.2
Post Ban	0.0	0.0	0.0	29.7	29.7
Net Impact	-64.0	-52.5	-22.7	+29.7	-109.5

Source: Australian Gambling Research Centre - Based on a combination of data sources, including Nielsen Ad Intel, Standard Media Index, and information provided by stakeholders through consultation. E&P Estimates.

One positive for the industry is that the proposed reforms do not include further restrictions around inducements (promos).

- This is despite a complete ban being one of the recommendations from the original Peta Murphy report.
- A key reason is that inducements in Australia are regulated almost entirely at the state/territory level, not federally.
  - There are measures in the National Consumer Protection Framework around restricting inducements to open an account, but these are given legal force through each state and territory's own legislation and technically not a federal offence.

Black Market Concerns

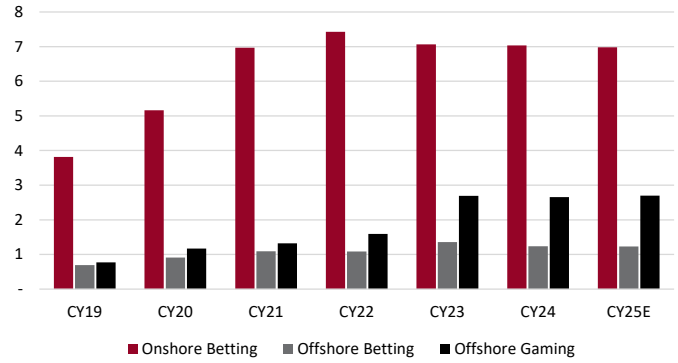
The reforms will also boost enforcement against illegal offshore gambling providers. These include:

- Extending ACMA's powers to block illegal gambling websites
- An obligation on financial institutions to block transfers to accounts belonging to illegal gambling operators;
  - This includes allowing ACMA to share information with financial institutions to assist their blocking of transactions
- An obligation on digital platforms to remove access to illegal gambling services online.

The threat of a rising black market was a key concern for the regulated wagering industry.

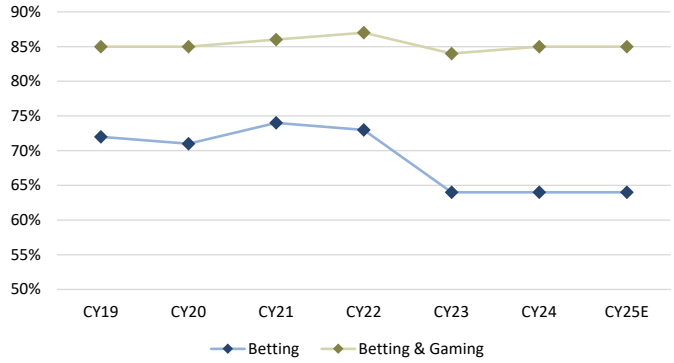
- Regulated bookmakers warned that a full advertising ban would drive players towards an illegal operator and reduce the ability for customers to distinguish between the two.
  - A recent study from industry body Responsible Wagering Australia (RWA) found almost half of active online players surveyed were unable to distinguish between licensed operators and illegal sites (see here).
  - ACMA recently issued a warning to social media influencers to stop promoting illegal gambling services or risk facing significant penalties (see here)
- RWA also have emphasised that illegal operators compete on an unfair playing field as they do not pay tax, product fees or invest in safer gambling and compliance.
  - This allows them to out-compete licensed operators on better odds, products such as live in-play betting and attract players who are registered with BetStop.
  - The RWA study found that online betting & gaming channelisation rates have fallen over recent years.

Exhibit 32 - Australia Online Betting and Gaming by Channel (A$bn)



Source: H2 Gambling Capital November 2025, Responsible Wagering Australia, E&P Estimates

Exhibit 33 - Australia Online Betting and Gaming Channelisation Rates



Source: H2 Gambling Capital November 2025, Responsible Wagering Australia, E&P Estimates

Impact by Bookmaker

We believe there are some winners and losers amongst the individual bookmakers.

Tabcorp appears the clear winner overall as they retain two key unique marketing assets.

- Retail Licences - Tabcorp retains land-presence and can advertise within venues.
- SkyRacing - Currently Tabcorp is selling the distribution rights to some other bookmakers. However, they retain the ability to do either of the following:
  - Put SkyRacing on free-to-air TV (as one of the few broadcasts that can still freely advertise) and control which and how much each bookmaker advertises.
  - Retain SkyRacing as an exclusive asset.
- Tabcorp have also publicly stated that they no longer advertise on free-to-air television between 6.00am and 8.30pm.

We believe betr are a small incremental winner.

- betr's recent brand refresh featuring "The Goat" means they are in a better position than their competitors when the ban on the use of notable people comes in.
- betr are also less reliant on the broadcast television time slots that will be affected with the majority of their ads already after 8:30pm.
  - betr's last campaign in the affected slots coincided with the brand refresh — a one-off investment during the Ashes series.
- Due to the ban on wagering advertising in sports venues and on players' and officials' uniforms, betr will need to cease their sponsorship of the Redcliffe Dolphins.
  - Many other bookmakers will also need to cease their partnerships with professional teams. The Impact Study found that 41% of teams across the three major winter football codes (AFL, NRL, Super Rugby) had an active wagering sponsor for the 2025 season.
    - Existing deals will be grandfathered until their conclusion.

Exhibit 34 - betr Brand Refresh - The Goat



Source: betr

We believe Sportsbet is likely to be a net-loser on aggregate from the reforms.

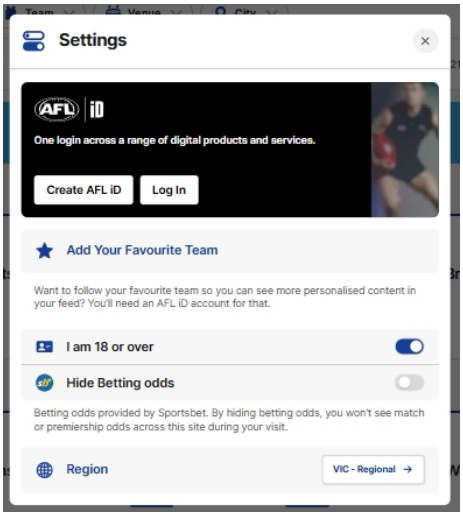
- Sportsbet have been comfortably the biggest advertiser on broadcast TV during the affected time slots.
  - They have also been the bookmaker who has most utilised the promotion of odds in the ads.
- Sportsbet is one of the most impacted by the ban on notable people.
  - Their strategy has typically been focused on using a wide array of current or ex-athletes. In comparison, PointsBet have a notable person concentration centred around Shaquille O'Neal, whilst bet365 have used Hollywood celebrities such as Samuel L. Jackson.
- Although Sportsbet under-index on sponsorship with individual sporting teams, they are the most integrated with the leagues themselves.
  - As discussed above, they have not activated elements of their agreements with the AFL & NRL, which are now effectively sunk costs.
  - Below we show an example of how their odds are integrated with the AFL fixture on their website. Currently, the default setting is that they are visible without needing to log in, albeit users can opt out.
    - Under the new "triple lock" functionality, users would need to sign in and confirm they are over 18.
    - The expectation is that many small-medium online platforms will forego gambling advertising, as the compliance requirements of the triple lock will exceed the benefits.
- The major benefit to Sportsbet is that the restrictions will make it more difficult for new entrants to penetrate the market and thus, their leading market share is somewhat reinforced.
  - They also have the strongest social media following which won't face much impact from the restrictions.

Exhibit 35 - Sportsbet integration into the AFL Website



Source: AFL

Exhibit 36 - AFL Website Settings



Source: AFL

We believe the biggest loser amongst the industry is Dabble.

- Dabble's business model is heavily reliant on influencers to drive engagement. In theory the entire business model in Australia is in jeopardy.
- However, we believe Dabble is now prioritising international markets such as the US & UK rather than Australia.

Impacts of AI

We expect AI to have a material impact on the future of the wagering sector. This is due to the high digital penetration, scope for further product innovation and enormous available datasets.

Current AI Initiatives

Australian bookmakers have already begun utilising AI across multiple initiatives. A recent investigation from ACMA (see here) split these into four categories. Below we summarise these in conjunction with further analysis and industry feedback.

Exhibit 37 - ACMA Summary of AI usage in Wagering Providers

Use case	Type of AI	Description
Predictive analytics and odds setting	Predictive	Predicting sporting outcomes to set odds that maximise profits.
Personalisation and tailored promotions	Predictive and generative	Customising app interfaces and targeting promotions and services to individual users.
Content, design and new features	Generative	Creating advertising material, designing games and developing features such as chatbots.
Detecting harmful or fraudulent behaviour	Predictive	Identifying patterns of harmful gambling behaviour and fraudulent activity.

Source: ACMA

Predictive Analytics & Odds Setting

Predictive AI models help bookmakers generate more accurate predictions which then in turn helps them control their profit margins.

- Over time these models gradually improved from relying on historical data, to processing live information such as player injuries, weather conditions and betting activity.

AI models have also helped expand the scope of bet offerings beyond win-loss results as punters can now bet a wide range of player stats.

- The more products that can be offered, the more opportunities for gamblers to place bets.
  - Punters are naturally opinionated people and the goal of a bookmaker is to be able to construct a bet option to capture these opinions.
  - More product offerings also increases the propensity for multis, which are the highest margin products.

AI has also been used by punters to build custom form guides.

- This can lead to an increase in consumer engagement amongst certain players and give them a greater sense of confidence.
  - Over the past few years, bookmakers have been leaning into this concept themselves by incorporating more stats into their products. The objective is to give punters more knowledge to make them think they will win.
- Although customer-built form guides could be viewed as a risk for the bookmakers, we believe the downside is limited, as they can simply cut off punters who are too successful.
  - We also believe that there will be an increase in market fragmentation as pricing becomes more relevant. This could benefit betr at the expense of larger bookmakers such as Sportsbet.

Personalisation & Tailored Programs

AI can accelerate personalised content that better resonates with each individual.

- This is not a new concept, nor is it specific to wagering as social media platforms have now built their entire business models around personalised content.

The first form of tailored programs over the last few years from bookmakers has been improving promo-efficiency to ensure positive revenue customers are retained and discourage promo-chasers.

- This is reasonably straightforward to execute as the bookmakers can simply rank players based on past performance and actions.

Over the next few years we expect to see more customised content which requires an understanding of a player's psyche and then making predictions accordingly.

- We expect this to come via not just bet recommendations, but also by incorporating vision, form guides, statistics, news, competitions & other media content.
- Tabcorp has partnered with AI company Databricks to provide personalised experiences to customers.

Content, Design and New Features

Major bookmakers have already developed AI based chatbots.

- We believe this type of product could be particularly successful amongst younger generations, who will have increasingly grown up on prompt based AI functions.
- Sportsbet have developed an AI Assistant that provides information on select racing & sporting events. It can also make bet suggestions.

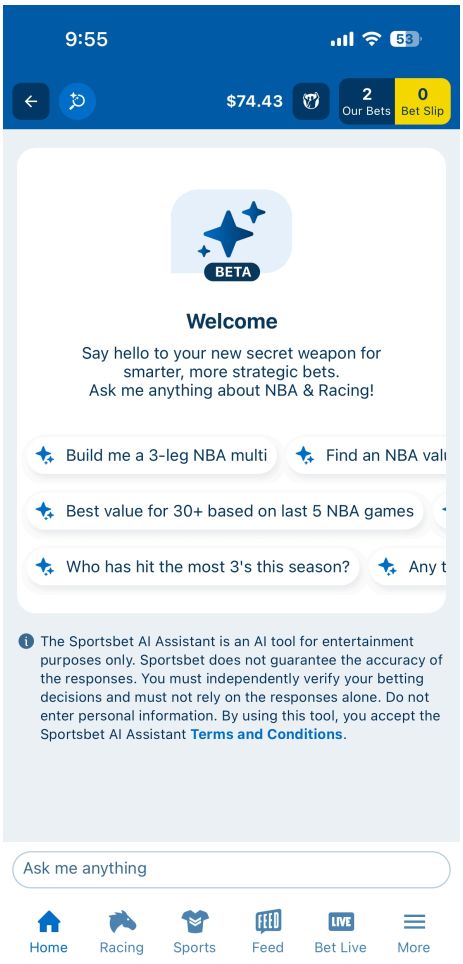
- We would expect that the AI is more likely to suggest bets that are favourable to Sportsbet which could therefore have margin benefits.
- They have also implemented a chatbot for customer queries. Sportsbet state that more than a third of inquiries are handled by this system with an accuracy rate of ~94%.

- Ladbrokes has a similar product called Form Genius.
- Given the investment required, we expect betr to be more of a fast-follower initially in internal AI products rather than a trend-setter.

AI is also being used heavily in creative production around content design, branding & marketing.

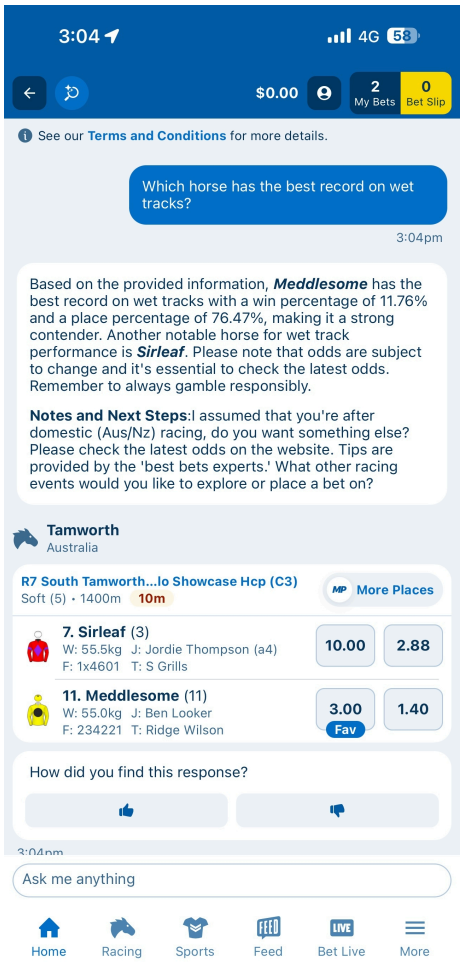
- Future content & features could involve more immersive technologies such as virtual reality.

Exhibit 38 - Beta Sportsbet NBA AI prompts



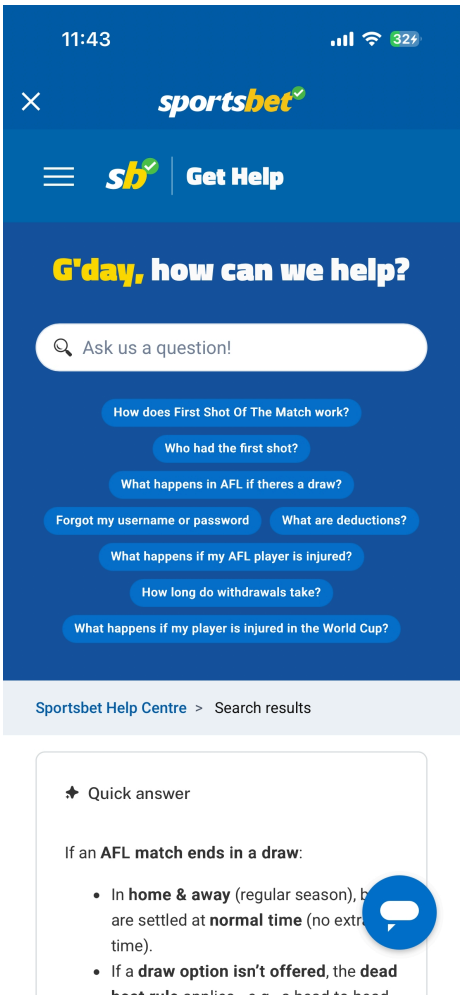
Source: Sportsbet

Exhibit 39 - Beta Sportsbet Racing AI prompts



Source: Sportsbet

Exhibit 40 - Sportsbet Chatbot



Source: Sportsbet

Detecting Harmful or Fraudulent Behaviour

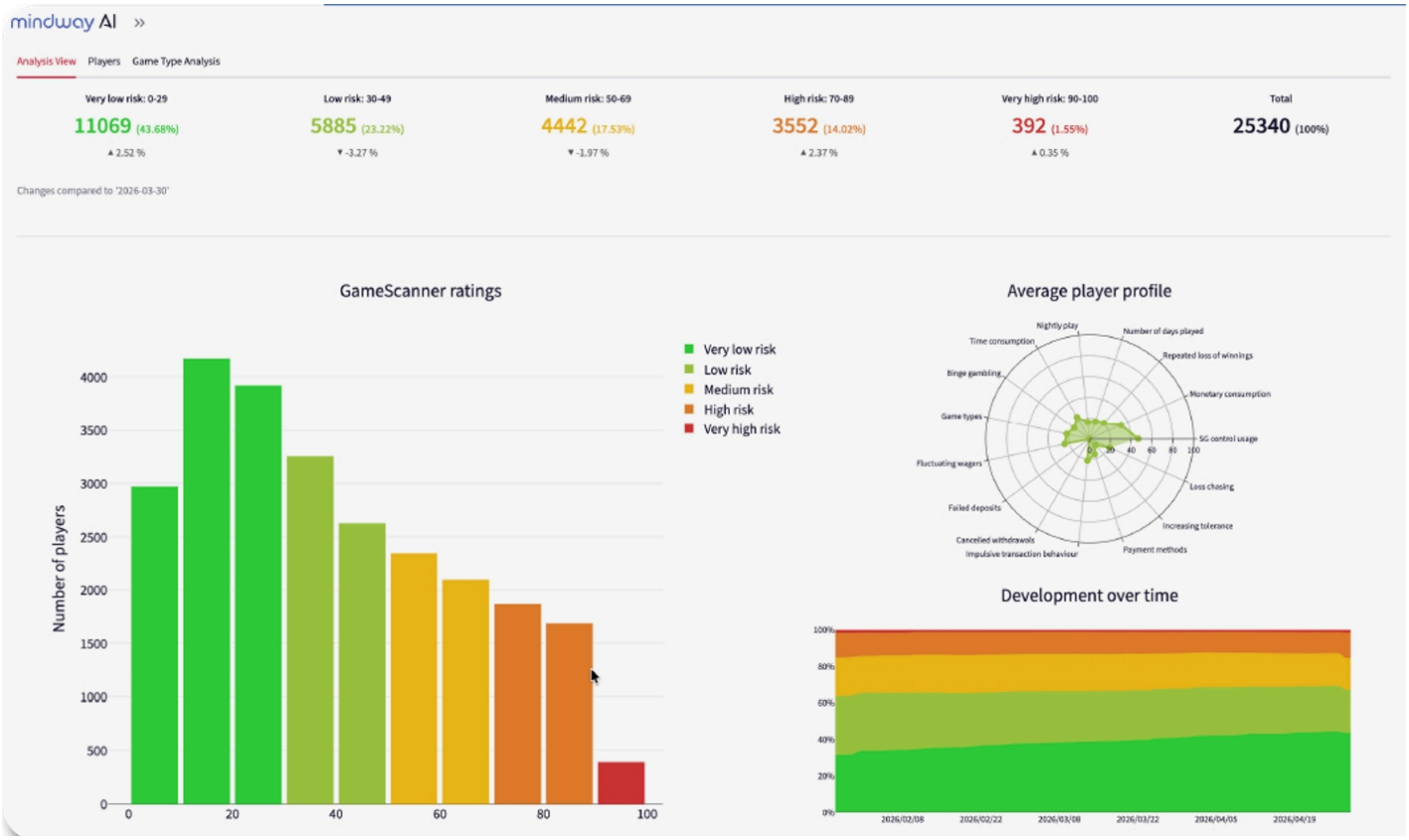
The final AI category is around risk reduction. In particular, AI has the potential to identify problem gamblers & enhance AML/CTF compliance.

- This should have a dual benefit of reducing opex & the probability of receiving fines.

Tabcorp, Entain & Crown have all partnered with Danish safer gambling software Mindway AI.

- Their GameScanner Analytics dashboard enables operators to quickly and comprehensively understand the risk profile of their customers.
- GameScanner can detect 87% of the at-risk and problem gambling cases that human experts detect. This has been tested and validated by Gaming Laboratories International (GLI).

Exhibit 41 - Mindway AI - GameScanner Analytics Dashboard



Source: Mindway AI

Opex Savings

As is the case with most industries, we expect AI to generate significant operational efficiencies. Each of the major Australian bookmakers have reduced headcount over the past few years. Whilst this appears to have been more so reflective of the challenging wagering environment, we also believe AI adoption has played a part.

- Sportsbet recently announced a reduction of ~90 roles, or 7.5% of their workforce.
- Tabcorp removed ~230 roles in FY25 which was >10% of their headcount.
- Entain announced a 10% reduction of their headcount late in CY25.
- At their latest quarterly result, betr stated that they expect 4Q26 to deliver $6m of annualised savings.
  - This is a function of both operational efficiencies and the elimination of duplicate roles following M&A activity.

AI Risks

As is the case with most online industries, the wagering industry faces exposure from AI disruption. However, we believe this will come more so from the black market rather than regulated channels.

- Although licensing has been relatively easy for bookmakers to obtain in Australia (typically via the Northern Territory), regulated channels have proven difficult for recent entrants to penetrate.
  - This is likely to compound with the implementation of the advertising ban.
- Offsetting this is the potential for AI to improve compliance measures, particularly in banking.
  - This would likely leave cryptocurrency as the alternative currency for black market operators.

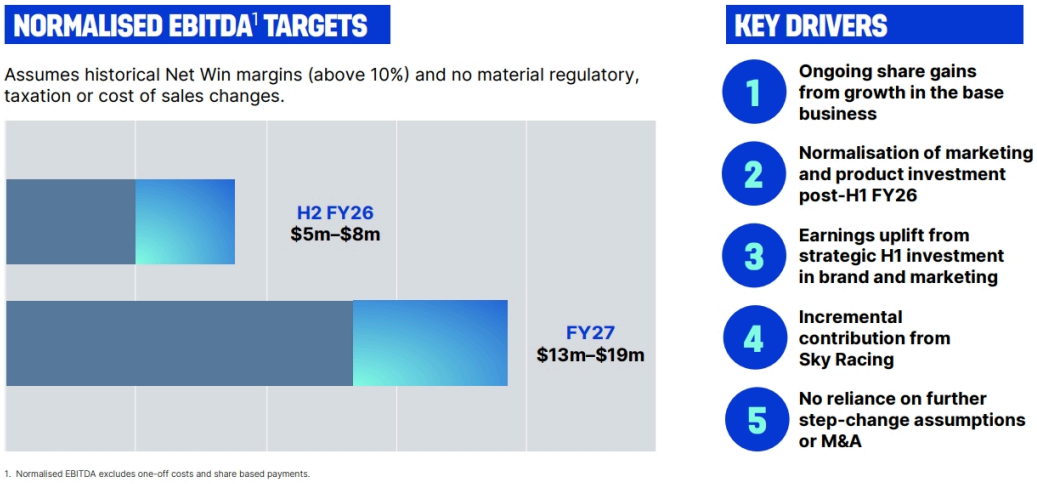
Financial Forecasts

Below we summarise our financial forecasts for betr.

We forecast 2H FY26 normalised EBITDA of $5.2m, which is towards the bottom of the company's $5–8m guidance range. This reflects the rise in petrol prices, which we believe weighed on industry turnover shortly after betr's 3Q result, leading us to adopt a conservative turnover forecast for the Jun-26 quarter. Our forecasts also incorporate the company's completed cost-out program, worth ~$6m annualised and largely realised from the Jun-26 quarter onward.

For FY27, we sit at the mid-point of the guidance range, forecasting normalised EBITDA of $16.1m (guidance $13–19m). This assumes mid-single-digit turnover growth, a net win margin back within its historical 10–11% range, and the full benefits of the aforementioned cost-out.

Exhibit 42 - betr Normalised EBITDA targets



Source: betr

Exhibit 43 - E&P Financial Forecasts for betr

	Units	FY25A	FY26E	FY27E	FY28E
		Jun-25	Jun-26	Jun-27	Jun-28
KPI's					
Turnover	A$m	1,420.4	1,602.8	1,703.1	1,788.2
Net Win	A$m	147.8	158.5	182.2	191.3
Margin	%	*10.4%*	*9.9%*	*10.7%*	*10.7%*
Normalised P&L					
Revenue	**A$m**	**134.6**	**144.1**	**165.7**	**173.9**
Cost of Sales	A$m	-73.4	-87.5	-96.5	-99.0
Gross Profit	**A$m**	**61.2**	**56.6**	**69.1**	**74.9**
Other Income	A$m	1.1	0.4	0.5	0.5
Opex	A$m	-55.1	-64.9	-53.5	-54.1
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EBITDA	**A$m**	**7.2**	**-8.0**	**16.1**	**21.3**
Depreciation, Amortization and Impairments	A$m	-4.1	-12.5	-11.8	-10.9
Net Interest	A$m	-2.9	-0.4	-1.3	-1.0
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Profit/(loss) before income tax expense	**A$m**	**0.2**	**-20.9**	**3.0**	**9.4**
Income tax expense	A$m	4.6	0.6	-0.9	-2.8
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Profit/(loss) after income tax	**A$m**	**4.8**	**-20.3**	**2.1**	**6.6**
Normalised EPS	cps	0.79	-1.93	0.20	0.62

Source: Company Data, E&P Estimates

Valuation

We value betr at 26 cps. Our valuation is derived from an equal (50/50) blend of a DCF and an EV/EBITDA multiple, with betr's 27.72% stake in PointsBet valued separately.

Our DCF employs a cost of equity of 12.4%. We have deliberately set this toward the higher end of the spectrum for now, reflecting:

- An improving but still challenging macro and wagering environment;
- Industry uncertainty around AUSTRAC enforcement, the impact of the proposed advertising restrictions, and the (albeit modest) potential for further POCT increases;
- Company-specific risks, including betr's key-person reliance, a concentrated register with limited liquidity, and the ongoing PointsBet holding and its funding.

Should these risks alleviate, we would expect our cost of equity to compress and our valuation to re-rate higher.

Our multiple-based valuation applies 10x FY28 EV/EBITDA.

For the PointsBet stake, we have marked betr's holding at $1.00 per share, marginally ahead of the current trading price. This reflects our view that betr would likely be able to command a premium from MIXI in the event it seeks full ownership. We still view this as conservative, as if realised, $1.00 would represent a lower price than the average both MIXI and betr paid for their respective stakes. We have likewise taken a conservative approach to net debt, treating customer cash balances as a liability rather than as available cash.

Key Risks

Macro Environment - betr's turnover is discretionary consumer spend and is therefore sensitive to higher interest rates, inflation pressures such as petrol prices, rising unemployment and weaker consumer confidence, each of which can reduce betting frequency and average stakes. The current environment of elevated rates and soft consumer sentiment is an active headwind to volume growth.

Volatility of Margins - Net win margin is inherently volatile and can decline when results favour customers. For example, the 2025 spring carnival saw a concentrated run of favourites win, which had an adverse impact of 175bps on the net win margin.

Highly Competitive Industry - betr competes against larger and often better-capitalised operators, such as Sportsbet (Flutter), Ladbrokes/Neds (Entain) and TAB (Tabcorp). These players benefit from scale in operations and compliance, which allows them to outspend smaller players on technology and marketing. Until the last few years, Tabcorp was the major player ceding digital share. That is no longer the case, so growth must now be taken from entrenched players. There is also the risk of new or re-entering well-capitalised competitors. The latest is CrownBet, a Crown Resorts brand relaunched in February 2026.

M&A Execution Risk - Consolidation is central to the investment case, so M&A execution is a key risk. Each transaction must be funded, whether by cash, debt or scrip. Deals must then complete, including satisfying any conditions and regulatory approvals. Targeted cost synergies risk being captured only in part, and over a longer timeline than expected. Migrating acquired customers onto betr's platform carries a risk of churn and the underlying technology must also be integrated.

Advertising Ban - As discussed above, the proposed advertising ban could impair betr's ability to attract new customers. It is unknown whether it will pass as is, pass with changes, or be delayed.

Other Changes to Regulation - Beyond advertising, there is the potential for further regulatory measures to be introduced, usually intended as responsible gambling initiatives. Examples of these include mandatory deposit or spending limits, restrictions on inducements or promotional generosity, and curbs on VIP schemes or third-party punter agents. Each could reduce betr's ability to acquire, reactivate and monetise higher-value customers. Some of these measures have already been implemented in other sectors, such as casinos.

Loss of Licences - betr operates under a Tasmanian Gaming Licence (TGL), plus various state, racing and sports permits. Breach of conditions, non-renewal or cancellation of a key licence would directly impair its ability to generate revenue.

AUSTRAC / AML-CTF - betr is a registered reporting entity, in a sector AUSTRAC has prioritised. It is therefore exposed to audits, investigations and civil penalties. Tabcorp was fined $45m in 2017 and is currently the subject of a fresh AUSTRAC enforcement investigation, believed to relate to its retail channel. Entain currently carries a $100m provision and is expected to go before the court later this year. The Entain case shows the impacts likely extend beyond potential fines. It offboarded high-risk customers in late CY24 and early CY25, and its recent strong April quarter indicates it is starting to cycle through those customer losses. Its compliance costs also rose by more than $10m. Further AML/CTF reforms are anticipated across the sector through 2026, adding compliance cost and risk.

Skew to Racing - Racing accounts for ~80% of betr's FY25 turnover. Relative to sports, racing offers lower structural growth and less room for product innovation. This skew leaves betr exposed to any material disruption to racing. Animal-welfare risk is one such

factor. New Zealand's decision to phase out greyhound racing provides a precedent, and an Australian welfare inquiry or restriction on greyhounds could weigh on racing turnover.

Increases in Taxes & Product Fees - Product fees and point-of-consumption tax (POCT) have risen over the past five to ten years. The pace of those increases has since slowed, but the risk of further rises remains. The AFL, for example, recently increased its product fees. On POCT, NSW has for several years been rumoured to move from 15% to 20%. This is currently deferred in the state budget. A potential trigger would be Peter V'landys moving to the NRL full-time and seeking a share of POCT for sport. Contagion, with other states following to 20%, would then be a further risk.

Black Market Threat - Responsible gaming and aggressive taxation risk pushing volume toward unlicensed offshore operators. Historically, the government has found it difficult to crack down on these operators, as recent data indicates that channelisation rates have fallen over the past five years.

Threat of New Products - Structural product shifts could cannibalise discretionary spend on wagering. These include any legalisation of online casino (currently prohibited under the IGA), the emergence of prediction/event-contract markets, and daily fantasy sports.

AI Disruption - Rapid AI advances could erode betr's competitive position if better-resourced competitors deploy superior models. AI could also allow new entrants to replicate existing tech stacks for a much lower investment than current operators.

Technology & Cyber-Security - betr depends on the availability and integrity of its platform. A system outage or a data breach could damage customer trust, trigger regulatory action, and impair performance. It also relies on third-party providers, where a failure or disruption could have similar effects. Separately, if betr under-invests, its technology could be superseded by competitors over the longer term.

Reliance on Key Personnel - betr depends on a small group of key personnel, several of whom are also major shareholders. Key people, particularly those central to the M&A strategy, are difficult to replace.

Trading Risks - betr's M&A strategy is likely to dilute existing shareholders, either via scrip or capital raisings. Its ongoing on-market share buy-back also carries execution risk. Concentration of the register, together with escrow arrangements, also limits free float and share liquidity.

Financial and Balance-Sheet Risks - At 31 March 2026, betr held $28.7m in cash, including $12.7m of client balances — leaving roughly $16.0m in corporate cash once client balances are excluded. Given this modest cash balance, becoming cash generative is crucial. This is forecast under current guidance, but remains subject to management execution and the broader wagering market. Its NAB facility funds its PointsBet stake, and if that facility — or any replacement financing — were not extended, betr could be forced to sell those shares.

Key Management Personnel and Board of Directors

betr is led by an experienced board and management team with deep roots in the Australian and international wagering industry. Several of its senior figures have previously held senior management and non-executive roles at Sportsbet, Sportingbet and BetEasy, where they successfully executed on numerous M&A transactions.

Matthew Tripp — Executive Chairman

Matthew has more than 20 years' experience as an investor, executive and director across landmark businesses in the Australian wagering landscape. He acquired Sportsbet in 2005 and was its CEO until it was sold to Paddy Power in 2011. He then founded BetEasy, which he grew into one of Australia's largest corporate bookmakers, both organically and through acquisition, including buying William Hill Australia, before divesting to The Stars Group. Matthew was the founding shareholder, largest investor and Chairman of betr. He became Executive Chairman of the listed group in January 2025. He is also Chairman of the Melbourne Storm and the Sunshine Coast Lightning.

Andrew Menz — Chief Executive Officer

Andrew is an experienced leader in Australia's online wagering sector. He has been CEO of betr since it was founded in 2022, became CEO of the enlarged group when BlueBet and betr combined in July-2024, and joined the Board as an Executive Director in October 2025. He has been central to most of the industry's major recent M&A, including the acquisition of William Hill Australia by BetEasy, where he became CEO in 2020. He subsequently served as Chief Commercial Officer of Sportsbet, following the global combination of Flutter and The Stars Group — which had owned BetEasy — that saw BetEasy merged into Sportsbet.

Bill Richmond — Chief Operating Officer

Bill joined Sportingbet in 2004 and managed a range of departments. As a trading manager, he built and led a team of more than 30 traders. He ran the day-to-day trading operation for five years, then was promoted to Head of Product and Digital Operations. Bill became BlueBet's founding Chief Operating Officer in 2015 and has overseen day-to-day operations ever since. He also served as BlueBet's CEO from 1 March 2021. Bill has extensive experience running large digital businesses at every stage of their life cycle, spanning trading, marketing, IT and operations.

Blake Matthews — Chief Financial Officer

Blake was appointed Chief Financial Officer effective 1 July 2026, having served as interim CFO from December 2025. He joined the business in 2020 as Group Financial Controller, and had already advised BlueBet externally since its inception in 2015. Blake has more than 10 years of sector experience. He has played a key role in the group's growth to date, including BlueBet's successful IPO, the merger with betr, and subsequent acquisition and capital-raising activity. Earlier in his career, he held senior roles in professional services, advising pre-IPO and high-growth businesses. Blake holds a double Bachelor's degree in Commerce and Business Administration and is a member of Chartered Accountants Australia and New Zealand.

Michael Sullivan — Non-Executive Director

Michael co-founded betr. He was CEO of Sportingbet Australia / William Hill for 13 years, until 2014. In 2012, Sportingbet acquired Centrebet and integrated it onto its technology platform. Under Michael's leadership, the combined business generated annual turnover of around $3 billion and became the subject of an acquisition by William Hill, selling for $660 million in March 2013. He remained CEO of William Hill Australia to oversee the acquisition of tomwaterhouse.com. He later founded BlueBet, which has replicated the early growth of Sportingbet Australia.

Nigel Payne — Non-Executive Director

Nigel has over 30 years' experience as a chairman, chief executive and director of leading UK and international businesses, both within and beyond the online gambling industry. He is the former CEO of FTSE 250-listed Sportingbet Plc, then one of the largest internet gambling businesses in the world. Nigel has been involved in the listing of 18 businesses on the London Stock Exchange. He is currently Chairman of UK Main Market-listed Braemar PLC, a non-executive director of AIM-listed GetBusy plc and South-African-listed Sun International, and Chairman of Green Man Gaming. He is a former Chairman of Gateley, Stride Gaming, EG Solutions and ECSC Group.

Ben Shaw — Non-Executive Director

Ben has extensive board-level experience across private and listed companies and is Managing Partner of Romana Capital LLP. He was a founder of the Marwyn Group, a London-based investment and advisory business whose significant portfolio companies included Entertainment One, Advanced Computer Software and Breedon Aggregates. In the gaming sector, Ben co-founded Talarius, the leading UK operator of slot machines, which listed in London and was later acquired by Macquarie Bank and Tattersalls. He divides his time between London and Melbourne.

Alexi Baker — Non-Executive Director

Alexi is a director and executive with 20 years' experience across media, digital, sport and finance. She joined the Board in October 2025. Alexi was most recently Chief Customer and Digital Officer of the National Rugby League, where she was responsible for all consumer revenue streams, digital, marketing and customer experience. Before the NRL, she spent nine years across various roles at Nine Entertainment Co, including Managing Director Commercial and Director of Strategy and M&A. Earlier in her career, she was an equities analyst at Deutsche Bank and Credit Suisse. Alexi is also a non-executive director of Rugby Australia and Healthy Bones Australia.

betr Entertainment Limited, Positive, VALUATION AUD0.26

EAP CORE DRIVERS

- Australian macro environment and consumer discretionary spending
- Event outcomes that drive net win margins
- Movements in wagering regulations, taxes & product fees

INVESTMENT THESIS

- Experienced management team with a track record of M&A execution.
- Wagering market nearing the end of its post-covid reversion, with a future upside scenario should gaming machine reform redirect discretionary spend toward wagering.



FINANCIAL SUMMARY

betr Entertainment Limited		BBT.ASX			
As at:	22/07/2026		Recommendation:	Positive	Share Price: AUD0.17

Year end	Jun	2025A	2026E	2027E	2028E
INCOME STATEMENT					
Total Operating Income/Revenue		135.7	144.5	166.1	174.5
EBITDA		7.2	(8.0)	16.1	21.3
D&A		(4.1)	(12.5)	(11.8)	(10.9)
EBIT		3.1	(20.5)	4.3	10.4
Net Interest Expense		(2.9)	(0.4)	(1.3)	(1.0)
PBT		0.2	(21.0)	3.0	9.4
Tax expense		4.6	0.6	(0.9)	(2.8)
NPAT attributable to s'hers		**(6.8)**	**(36.2)**	**(0.2)**	**4.1**
Adjusted Net Profit		4.8	(20.4)	2.1	6.6
Year end	**Jun**	**2025A**	**2026E**	**2027E**	**2028E**
BALANCE SHEET					
Assets					
Cash		104.9	42.9	50.7	61.1
Current Receivables		1.3	1.6	1.8	1.9
Other Current Assets		2.3	2.8	2.8	2.8
Total Current Assets		108.5	47.4	55.3	65.7
Property Plant & Equipment		6.3	6.2	6.2	6.2
Intangibles		49.4	45.6	42.1	39.9
Other Non-Current Assets		0.1	0.0	0.0	0.0
Total Non-Current Assets		174.2	183.1	179.6	177.4
PointsBet Stake		78.2	91.1	91.1	91.1
Total Assets (BS)		282.7	230.5	234.9	243.1
Liabilities					
Short Term Debt		33.3	33.8	33.8	33.8
Current Accounts Payable		20.4	29.6	32.0	33.6
Total Current liabilities		72.6	82.0	84.4	86.0
Long Term Debt		0.0	0.0	0.0	0.0
Other Non-Current Liabilities		5.1	4.9	4.9	4.9
Total Non-Current Liabilities		11.9	10.5	10.5	10.5
Total Liabilities		85	92	95	96
Total Shareholders' Equity		198.2	138.0	140.1	146.7
Net Assets		198.2	138.0	140.1	146.7
Net Tangible Assets		108.6	52.2	57.7	66.6
Book Value		198.2	138.0	140.1	146.7
Year end	**Jun**	**2025A**	**2026E**	**2027E**	**2028E**
OPERATING CASH FLOWS					
EBITDA		7.2	(8.0)	16.1	21.3
Change in Working Capital		4.0	8.8	2.2	1.5
Other Operating Cashflow		(28.6)	(12.6)	0.0	0.0
Gross Operating Cash Flow		**(17.4)**	**(11.7)**	**18.3**	**22.8**
Net interest paid		(1.9)	(1.4)	(1.3)	(1.0)
Tax Paid		0.0	0.6	(0.9)	(2.8)
Net Operating Cash Flows		**(19.3)**	**(12.6)**	**16.1**	**19.0**
Investing Cash Flows					
Purchase of PP&E		(6.1)	(8.1)	(8.3)	(8.7)
Proceeds from Asset Sales		0.4	0.0	0.0	0.0
Other Investing Cashflows		8.4	0.0	0.0	0.0
Purchase of Investment		(72.5)	0.0	0.0	0.0
Total Investing CashFlow		**(69.8)**	**(8.1)**	**(8.3)**	**(8.7)**

Source: Company data, E&P estimates

Year end	Jun	2025A	2026E	2027E	2028E
FINANCING CASH FLOWS					
Proceeds from Borrowings		48.9	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		129.4	(40.7)	0.0	0.0
Other Financing Cashflows		(8.6)	(0.6)	0.0	0.0
Total Financing Cash Flow		**169.7**	**(41.3)**	**0.0**	**0.0**
Net Change in Cash		80.5	(62.0)	7.8	10.3
Free Cashflow		(25.4)	(20.7)	7.8	10.3
Year end	**Jun**	**2025A**	**2026E**	**2027E**	**2028E**
PER SHARE DATA					
EPS - Adjusted (cents)		0.7	(2.0)	0.2	0.6
Cash Flow Per Share (cents/share)		(3.8)	(2.0)	0.7	1.0
Book Value ($/sh)		19.3	13.2	13.2	13.7
NTA Per Share ($/sh)		10.6	5.0	5.5	6.2
Year end	**Jun**	**2025A**	**2026E**	**2027E**	**2028E**
SEGMENTALS					
Turnover		1,420.4	1,602.8	1,703.1	1,788.2
Gross Win		196.2	216.5	241.9	254.0
Net Win		147.8	158.5	182.2	191.3
Year end	**Jun**	**2025A**	**2026E**	**2027E**	**2028E**
ANALYSIS					
EBITDA Margin (%)		5.3	(5.5)	9.7	12.2
EBIT Margin (%)		2.3	(14.2)	2.6	6.0
Net Profit Margin (%)		3.5	(14.1)	1.3	3.8
Capital Employed		126.6	128.9	123.1	119.4
Return on Capital Employed (%)		5.9	(16.1)	3.4	8.6
EBITDA/Capital Employed (%)		13.6	(6.2)	12.8	17.6
ROE %		**4.8**	**(12.1)**	**1.5**	**4.6**
Net Debt/Equity (%)		(36.1)	(6.6)	(12.1)	(18.6)
Net Debt/Net Debt & Equity (%)		(56.6)	(7.1)	(13.8)	(22.8)
Net Debt/EBITDA (x)		(9.9)	1.1	(1.1)	(1.3)
Net Interest Cover (x)		1.1	(8.3)	1.4	3.3
GOCF/EBITDA (%)		(2.4)	1.5	1.1	1.1
Total Capex/Sales (%)		4.5	5.6	5.0	5.0
Working Capital/Sales (%)		(0.1)	(0.2)	(0.2)	(0.2)
D&A/PP&E (%)		65.1	202.2	189.7	176.4
EV/EBITDA (x)		28.5	(26.0)	13.3	10.4

BLENDED VALUATION			
		50.0%	
		50.0%	
Valuation	AUD0.26		

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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ACL	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
2319.HK	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, is providing advisory services to China Mengniu Dairy Group Limited for which it may receive a fee.
A2M	The company has entered into an agreement to acquire 100% of the shares in Yashili New Zealand Dairy Co., Limited, owned by Yashili International Group Limited, a subsidiary of China Mengniu Dairy Group Limited (China Mengniu Dairy) (2319.HK). E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, is providing advisory services to China Mengniu Dairy, for which it may receive a fee.
AYUPA	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
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CGUN	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
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GLS	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
HPG	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
IGL	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has provided advisory services to IVE Group Limited in the past 12 months, for which it received a fee.
IMU	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
KIT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
LE.US	A director of E&P Financial Group Limited, the ultimate holding company of Evans and Partners Pty Ltd, is a director of Lands' End Inc.
LGF	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Arranger and Joint Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
MA1	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
OFX	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.

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